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OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

SWITZERLAND

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

JANUARY 1970

BASIC STATISTICS OF SWITZERLAND

THE COUNTRY

Area (1 000 sq.km.)	41.3
Cultivated agricultural land (1 000 sq.km.)	2.7
Grassland and pastures (1 000 sq.km. in 1952)	19.0
Forest (1 000 sq.km. in 1952)	9.8

Major cities, end-1968 estimates (1 000 inhabitants)	
Zurich	436
Basle	216
Geneva	173

THE PEOPLE

Population, end-1968 estimates (1 000)	6 147.0
No. of persons per sq.km. in 1968	149.0
Net annual rate of population increase (per 1 000 inhabitants 1964-68)	12.5
Labour force, 1960 census (in per cent of total population)	46.3
Percentage distribution :	
Agriculture and forestry	11.2
Industry and construction	49.3
Others	39.5

Number of foreign workers subject to control (1 000)	
April 1969	612.4
August 1969	659.2
Annual average increase in the number of foreign workers subject to control, August census (1 000)	
1955-1964	50.0
1964-1969	—12.3

PRODUCTION

Gross National Product in 1968 (billion Swiss francs)	74.0
Growth of real GNP, 1966-1968 average (annual rate, per cent)	2.9
Gross fixed investment in 1968 (in per cent of GNP)	24.9
Growth of real fixed investment, 1966-1968 average (annual rate, per cent)	1.3

Growth of total labour productivity, 1966-1968	2.6
Value added by industrial origin in 1967 (in per cent of GDP at factor cost)	
Agriculture	6.4
Industry	49.6
Other	44.0

THE GOVERNMENT

Public consumption in 1968 (in per cent of GNP)	11.9
Public works in 1968 (in per cent of GNP)	5.5
Tax revenue in 1968 (in per cent of GNP)	17.8
Public debt in per cent of current receipts (1966)	121.0

Composition of Parliament (per cent)

	National Council	State Council
Conservatrice Christian Socialists	22.5	41.0
Radicals Democrats	24.5	32.0
Socialists	25.0	4.0
Agrarians	10.5	7.0
Others	17.5	16.0

Last elections: 1967
Next elections: 1971

LIVING STANDARDS

Gross National Product per capita in 1968 (US dollars)	2 782
Growth of real GNP per capita (annual rates, 1966-1968 average)	1.7
Gross hourly earnings of skilled male workers (US dollars, 1968)	1.60
Growth of real hourly earnings of skilled male workers (annual rates, 1966-1968 average) per cent	2.4

Number of passenger cars in 1968 (per 1 000 inhabitants)	192
Number of telephones in 1968 (per 1 000 inhabitants)	437
Number of radio sets in 1968 (per 1 0000 inhabitants)	285
Number of television sets in 1968 (per 1 000 inhabitants)	164

FOREIGN TRADE AND PAYMENTS

(1968, million US dollars)

Commodity exports f.o.b.	3 951
Commodity imports f.o.b.	4 494
Services, net	1 346
Transfers, net	—258
Current balance	545
Commercial banks' short-term capital	—526
Balance on official settlements	627
Exports of goods and services including factor incomes (per cent of GNP)	35.9
Imports of goods and services including factor incomes (per cent of GNP)	31.2

Percentage distribution:

	Exports	Imports
to/from OECD countries	74.7	88.3
Other developed countries	7.7	3.2
Developing countries	17.5	8.5
Food, drinks and tabacco (SITC groups 0 and 1)	5.5	13.3
Materials (2,3,4,)	2.7	13.0
Semi-finished goods and chemicals (5,6)	37.0	32,9
Finished manufactured goods (7,8,9)	54.7	40,8

Currency unit: Swiss franc; 1 Swiss franc = 0.231 US $

OECD ECONOMIC SURVEYS

SWITZERLAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, Finland, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

The annual review of Switzerland by the OECD
Economic and Development Review Committee took place
on 4th December 1969

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INTRODUCTION

Under the impact of rapidly expanding foreign markets, the earlier cyclical downturn in Switzerland has given way to a full scale business upswing, leading to fuller use of both physical and human resources. Up to now, the strengthening of demand has been reflected more in increases of real output than in prices and has brought productivity advances into better line with wage increases. The financial position of the government sector has also developed more favourably than earlier medium-term projections suggested. The external position has shown a further strengthening.

At the present stage of the business cycle, the task of reconciling main policy objectives may become more difficult. The expansionary forces are likely to shift from foreign to domestic demand and less elastic labour supply and capacity conditions may slow down the rate of growth of real GDP. The rise of wages is likely to accelerate in response to the favourable profit situation and the growth of labour earnings abroad. Cost push, some import of inflationary price tendencies from foreign countries, and the effects of the German revaluation will induce a steeper trend of prices. Hence the recent shift of policies towards restraint. Given the present very high current external surplus, policies which restrain internal demand and hence imports may, however, be at variance with the requirements of international balance in so far as the current account surplus cannot be matched by a long-term capital outflow.

The present Survey analyses, in its first part, the recent business upswing which, in contrast to the previous expansionary phase of the cycle, developed in conditions of extremely limited labour supply. Part II reviews monetary and fiscal policies—the new arrangements between the Swiss National Bank and the private banks and the improvement of the public sector's financial position. Short-term prospects and policy requirements are discussed in Part III.

I THE PRESENT BUSINESS UPSWING

Two years ago, the OECD Economic Survey of Switzerland[1] noted that the process of adjustment to the restrictive foreign labour policy had come to an end and that the benefit which the economy could draw from the entrepreneurs' efforts to cope with the new labour situation had largely occurred. Referring to the unsatisfactory growth and productivity performance and the disappointing response of price movements to stabilization policies, it argued that the economy needed a new demand impulse to check recessionary tendencies and to bring productivity advances into better line with the underlying trend of wages, thus helping to alleviate the price problem from the cost side. It was, therefore, thought appropriate that the Swiss authorities should stand prepared to stimulate demand if an acceleration of economic activity should fail to materialize in the near future.

The substance of this analysis has not been belied by subsequent events, but it has proved unnecessary to take any expansionary measures. In fact, contrary to widespread expectations, the growth of world trade accelerated strongly. Thus exports emerged as vigorous expansionary force in late 1967 and remained the most important growth factor during 1968 and 1969. The export boom, which has probably been the strongest ever experienced in Switzerland, induced, later on, a progressive recovery of internal demand, leading the economy back to its longer-term growth path. Fears that a revival of demand would thwart the principal policy aim to bring under control the persistent appreciable rise of prices and wages did not prove justified. On the contrary, during the first eighteen months of business upswing, substantial progress was made towards more stable price and cost developments, which only in more recent months has given way to some reversal.

In the following paragraphs, an attempt is made to identify the main factors responsible for the favourable combination of faster growth and improved price and cost performance and to highlight certain specific features of the present business upswing in comparison with previous boom periods.

Output and demand

The revival of economic activity has led to an appreciable acceleration of growth; the extent to which this has been feasible without

1 Published in December 1967.

Table 1*a* **Gross National Product and Expenditure at Current Prices**

Percentage change from previous year

	1964	1965	1966	1967	1968			1969			1970
					year	1st half	2nd half	year[1]	1st half	2nd half[3]	year[1]
Private consumption	8.8	7.5	7.3	7.3	5.7	6.1	5.4	7.0	6.6	7.4	9.2
Public consumption[2]	10.1	6.8	10.6	7.6	6.9	6.9	6.9	9.5	8.7	10.2	9.7
Gross asset formation	13.7	−0.8	2.8	2.3	5.5	2.7	7.9	10.8	6.1	14.5	14.1
Fixed assets	13.8	1.3	2.9	2.4	5.3	3.7	6.8	11.1	6.3	15.4	13.7
Stocks (contribution to growth of GNP)	0.2	−0.6	—	—	0.1	−0.2	0.4	—	−0.1	0.1	0.2
Total domestic demand	10.4	4.9	6.4	5.9	5.8	5.3	6.3	8.3	6.8	9.7	10.6
Exports (including factor income)	10.5	14.0	10.5	7.3	13.8	12.8	14.7	14.2	13.0	15.3	12.8
Total demand	10.5	6.8	7.2	6.2	7.6	7.3	8.4	9.9	8.5	11.3	11.2
Imports (including factor income)	10.8	4.0	6.4	5.7	8.9	4.9	12.8	14.8	14.0	15.5	16.5
GNP	10.3	8.0	7.7	6.5	7.6	8.0	7.2	8.4	6.7	10.0	9.5
Contributions to growth of GNP											
Domestic demand	10.5	5.0	6.3	5.8	5.6	5.2	6.5	7.9	6.4	9.2	10.1
Foreign balance	−0.3	3.0	1.4	0.7	1.9	2.8	0.7	0.5	0.3	0.8	−0.6
of which : factor income	0.1	0.5	0.4	0.1	0.5	—	—	0.9	—	—	0.8

1 Semi-official November estimates or forecasts.
2 Including private insurance.
3 Implied rate of change.

Source : La Vie économique.

producing strains on the balance of the economy has probably taken many observers by surprise. In real terms, the rate of growth of GDP picked up from 1.6 per cent in 1967 to 3.4 per cent in 1968, and may exceed 4 per cent in 1969. The reversal of the falling tendencies of employment and productivity advances almost equally contributed to the steeper trend of output. National income has been, in addition, inflated by a rapid increase of net factor income from abroad. The fast rise of productivity was assisted by some easing of foreign labour restrictions and favoured by a shift of the pattern of demand towards higher productivity sectors, but was also partly due to a fuller use of available capacity. As there has been little natural growth of the labour force, the rise in employment has been largely due to a higher net immigration of foreign labour. Unemployment had remained practically non-existent during the preceding cooling-off period.

The buoyancy of world trade has been the key element of the business upswing. Export lifted the economy out of quasi-stagnation in late 1967 and have since remained the main expansionary force. Indeed, had total exports (national accounts concepts) continued to rise at the relatively moderate 1967 rate of 7.3 per cent, the expansion of GNP at current prices would have weakened further in 1968 and might have shown little acceleration in 1969. The nominal rate of

Table 1*b* **Gross National Product and Expenditure at Constant 1958 Prices**

Percentage change from previous year

	1964	1965	1966	1967	1968	1969[1]	1970[1]
Private consumption	4.9	3.7	2.8	2.9	2.9	4.2	5.0
Public consumption[2]	4.1	1.0	3.8	1.7	1.9	4.5	4.5
Gross asset formation	8.9	−3.5	−0.7	0.5	4.0	7.1	8.5
Fixed assets	8.9	−1.4	−0.4	0.5	3.8	7.5	8.0
Stocks (contribution to growth of GNP)	0.1	−0.6	—	—	0.1	—	0.2
Total domestic demand	5.9	1.4	2.0	2.1	3.1	5.0	5.9
Exports (including factor income)	6.8	12.0	6.1	4.3	10.8	11.8	9.3
Total demand	6.1	3.7	2.8	2.5	4.7	6.9	6.9
Imports (including factor income)	8.7	3.1	3.5	5.0	8.1	12.1	13.1
GNP	5.1	4.3	2.9	1.8	4.0	4.7	4.0
Contribution to growth of GNP							
Domestic demand	6.2	1.5	2.0	2.2	3.1	5.1	6.0
Foreign balance	−1.1	2.8	0.9	−0.4	0.8	−0.7	−2.0
of which : factor income	0.1	0.6	0.5	0.2	0.7	0.5	0.8

1 Semi-official November estimates or forecasts.
2 Including private insurance.

Source : La Vie économique.

growth of private consumption declined during 1968, and it was not before the second half of 1969 that the 1966 and 1967 rates were matched. However, thanks to a significant moderation of price increases, real consumption has picked up significantly since the fourth quarter of 1968, advancing at an annual rate of some 4 per cent. The response of business investors to the greatly improved profit situation and the unprecedented rise in foreign demand was also relatively hesitant. As building and construction activity remained depressed until the middle of 1968, it was only in the third quarter of 1968 that the volume of fixed asset formation regained the previous peak level attained in 1964. Current investment indicators relating to the first nine months of 1969 suggest, however, that the revival has since gathered considerable momentum, probably pushing investment in both building and machinery and equipment for 1969 as a whole about 7.5 per cent up on 1968 in real terms.

Table 2 **Indicators of Investment**

Percentage change from previous year

	1964	1965	1966	1967	1968	1969
Total gross fixed asset formation :						
Current prices	13.8	1.3	2.9	2.4	5.3	11.1[1]
1958 prices	8.9	−1.4	−0.4	0.5	3.8	7.5[1]
Machinery and equipment :						
Current prices	6.8	4.0	6.3	6.1	7.1	9.5[1]
1958 prices	3.6	1.3	1.2	2.5	4.2	7.5[1]
Imports of investment goods	8.5	−3.2	10.2	0.8	17.9	8.3[2]
Output of machinery	4.8	3.1	0.7	5.1	7.0	10.6[3]
Output of metal and metal goods	2.5	−3.1	−0.6	1.3	3.2	15.9[3]
Building and construction :						
1958 prices	11.9	−2.9	−1.3	−0.6	3.5	7.5[1]
Current prices	17.4	0.0	1.3	0.6	4.4	12.0[1]
Public		3.5	9.8	3.7	4.6	8.2[4]
Residential		1.5	1.3	−1.5	4.8	19.2[4]
Other		−4.9	−7.1	−0.3	3.5	14.7[4]
Dwellings completed[5]		7.8	−5.0	−5.9	−4.1	
Dwellings under construction in June[5]		−9.8	−9.6	−11.4	−4.8	
Dwelling permits issued[5]		−21.4	3.4	−10.9	19.5	
Volume of industrial projects inspected under Labour Law	−10.5	−25.3	1.3	−2.2	15.1	36.6[2]

1 Semi-official November estimates.
2 January-September.
3 First half-year.
4 On project basis reported in January.
5 Communes of more than 2,000 inhabitants.

Source : La Vie économique.

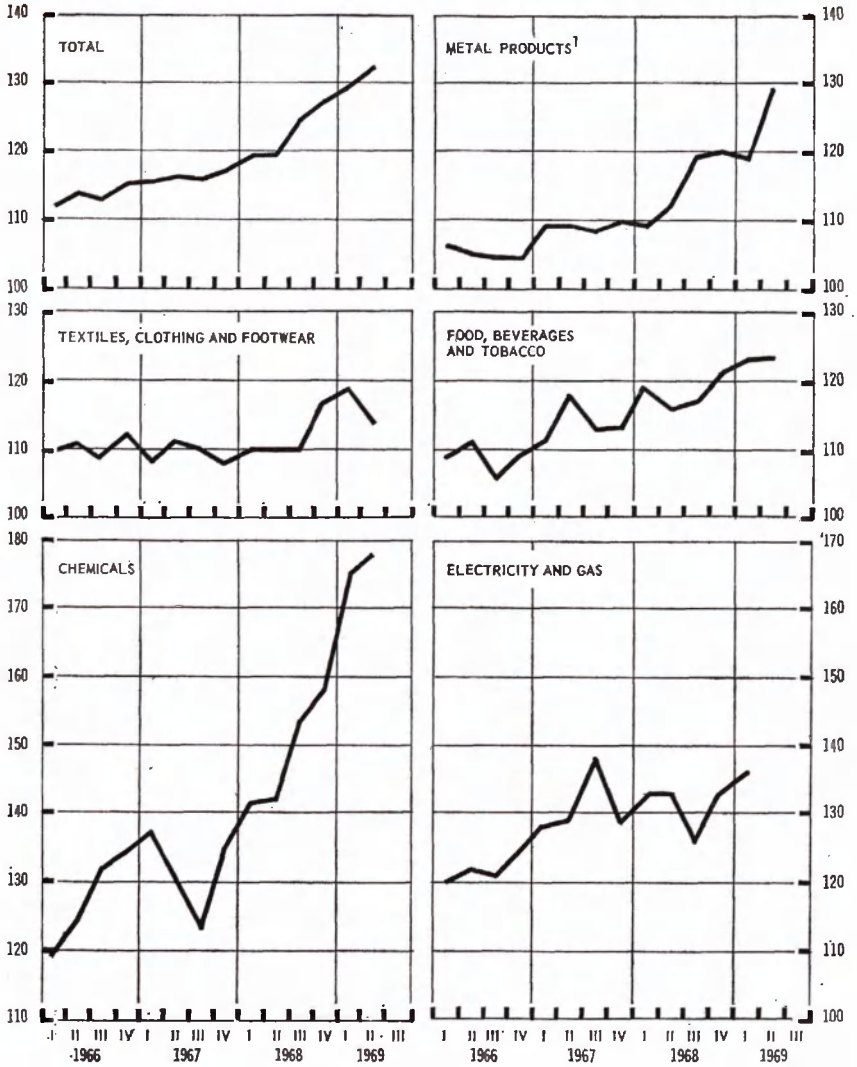
Table 3 **Employment and Labour Market**

	Base or Unit	1964	1965	1966	1967	1968					1969		
						year	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.
Index of employment :	3rd qtr.												
Total	1966 = 100[1]	(99.9)	(99.1)	(98.8)	98.9	99.2	98.2	100.6	100.3	97.8	99.2	101.8	101.4
Industry[2]	—	102.5	101.1	99.7	99.3	99.6	99.0	99.8	99.9	99.5	99.3	100.3	100.6
Construction[3]	—	90.1	89.0	91.5	90.2	88.5	88.3	94.4	95.1	76.0	88.4	95.7	95.2
Services[1]	—	(99.4)	(99.7)	(100.3)	101.7	103.3	101.2	104.5	103.1	104.3	103.4	106.7	105.2
Foreign labour subject to control[4]	thousands	721	676	649	648	648			648				659
Labour Market :													
Fully unemployed	—	0.3	0.3	0.3	0.3	0.3	0.7	0.2	0.1	0.2	0.4	0.1	0.1
Vacancies	—	6.3	5.3	4.6	4.1	3.9	4.0	4.1	4.0	3.6	3.8	4.4	4.7

1 Figures for 1964-66 are rebased old indices (end-March 1961 = 100).
2 After 1966 including handicrafts, excluding public utilities.
3 Until 1966 building only.
4 August figures.

Source : La Vie économique.

Diagram 1 Trends of Industrial Production
1963 = 100, seasonally adjusted



1 Including machinery.
Source : Industrial Production, OECD.

Prices and wages

The first 12-15 months of the present business upswing saw a sharp slowing down of price and wage increases. Between the third quarters of 1967 and 1968, the annual rise of the cost-of-living index was brought down from 4.6 per cent to 1.4 per cent, while the wholesale index of

Table 4 **Prices**

Percentage change from previous year

	1964	1965	1966	1967	1968					1969		
					year	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.
Consumer prices	3.1	3.4	4.7	4.0	2.4	3.5	2.4	1.4	2.2	2.4	2.7	2.7
Food	1.7	2.1	5.0	3.1	−0.1	1.6	−0.5	−1.6	0.5	0.9	1.9	2.5
Non-Food	4.1	4.5	4.8	4.8	3.6	4.5	3.9	3.0	3.0	3.1	3.0	2.8
Rent	6.2	5.5	8.1	9.6	7.4	8.1	7.5	7.2	6.9	6.7	6.4	6.3
Other	3.2	4.0	3.3	3.2	2.2	3.3	2.7	1.4	1.6	1.6	1.6	1.5
Services					4.8	4.4	4.6	4.8	5.0	5.0	4.3	3.7
Durables					−1.0	−0.4	−1.2	−1.2	−1.2	−1.0	−0.6	−0.5
Non-durables (excl. drink and tobacco)					1.3	3.2	2.1	−0.3	0.0	0.1	0.5	0.5
Wholesale prices of materials and basic goods	1.3	0.6	1.9	0.3	0.0	1.0	−0.2	−0.7	0.3	0.8	2.6	3.7
Domestic products	1.4	0.9	2.1	0.5	−0.2	0.7	−0.5	−0.8	−0.3	0.1	1.5	2.1
Imported goods	1.2	−0.4	1.3	0.1	0.7	1.5	0.3	−0.3	1.5	2.4	5.3	7.2
Manufactured food, drink, tobacco	1.3	0.6	5.2	2.2	−1.7	−0.7	−2.4	−2.5	−1.1	2.2	3.1	3.0
Metals and metal products	5.3	2.0	3.4	−2.8	0.9	1.8	0.7	0.9	0.1	2.3	11.4	16.7
Textiles	1.7	−3.6	−2.1	−3.9	0.8	−0.2	0.3	0.7	2.1	−0.5	0.8	1.8
Zurich building prices[1]	7.4	4.5	2.8	1.2	0.9	0.6	0.8	0.8	1.2	1.2	1.9	1.9

1 Annual data relate to the average of April and October.

Source : La Vie économique.

materials and basic goods showed a falling tendency. The year-to-year advance of hourly earnings of workers slowed down to less than 5 per cent, involving an absolute drop of unit labour costs in industry. Building costs in 1968 remained almost unchanged.

Table 5 **Wages**

Percentage rise from previous year

	1962	1963	1964	1965	1966	1967	1968	1969
Average hourly earnings of workers[1]	7.6	8.2	7.9	7.5	7.7	6.4	4.9	—
Average monthly salaries[1]	6.6	6.2	7.0	6.9	7.4	7.2	5.4	—
Wage rates[2]	5.5	6.2	5.5	5.0	5.6	5.3	4.1	4.3

1 Industry, trade and transportation.
2 Industry and building.

Source : La Vie économique.

This relatively high degree of price stability could not be maintained during 1969; but considering the uneven impact of incidental factors, price increases have remained, up to now, within acceptable limits. Indeed, as can be seen from Table 4, the faster increase of consumer prices since the fourth quarter of 1968 can be attributed to the behaviour of food prices. Prices of durable goods continued to decline and rent increases slowed down. The sharp reversal of the earlier falling tendency of prices of imported materials and related domestic products has not yet affected consumer prices, but has contributed to the faster increase of building costs. Despite the renewed buoyancy of material prices, the absolute and relative cost position of Swiss industry has remained very favourable. The rise of industrial output per employed person accelerated significantly in 1969 and exceeded the relatively moderate increase in wages[1].

The external balance

The improvement of Switzerland's external position, which had been the main achievement of the earlier stabilization programme, continued almost unabatedly during the first two years of business upswing. The

1 The rise of hourly earnings in industry may have been of the order of 5 to 6 per cent in 1969. The rate of growth of the industrial production index was probably about twice as high with a less than 1 per cent increase of employment. The Swiss production index is, however, not a very reliable indicator for productivity changes. The weighting pattern reflects the net production structure of more than 10 years ago and the changes of the index are calculated on the basis of gross output and delivery rather than value added data.

current balance of payments surplus more than doubled between 1967 and 1968 (from $ 240 million to $ 543 million) and may have been of the order of $ 600 million in 1969 (more than 3 per cent of GNP). Non-monetary capital movements added strength to the banks' external reserve position in 1968[1]. But in the first quarter of 1969 there was a sharp outflow of non-monetary capital which was only partly offset by an inflow in the following two quarters[2].

The improvement of the current balance in 1969 was concentrated in the first half of the year. While the sharp rise of net earnings from services and factor income from abroad has certainly continued throughout 1969, the traditional trade deficit (cif/fob), after four consecutive years of declining tendency, has resumed an upward trend since the second quarter, reflecting a strongly rising propensity to import and some slowing down of export growth. The recent worsening of Switzerland's terms of trade (in contrast to past trends) seems also to have contributed to the widening trade gap.

The elasticity of commodity imports with respect to changes of total demand at current prices, which was persistently below unity during the 1965-67 period, recovered to 1.2 in 1968 and is likely to outstrip the peak rate of 1.5 attained during the previous boom period (in 1961). In January-October merchandise imports on a customs clearance basis, exceeded the level of a year earlier by 15.5 per cent, matching the corresponding expansion rate of exports. Imports of raw materials and semi-finished goods increased about twice as fast as industrial production, reflecting, among other things, the steep rise in import prices. Imports of consumer goods increased much more than would have been suggested by the relatively moderate acceleration of private household demand. The trend of imports of investment goods, excluding aircraft, has also steepened.

Between the autumn of 1967 and the spring of 1969, the expansion of merchandise exports outpaced the growth of imports, but has since shown signs of deceleration. The weaker trend of exports since May can partly be attributed to changes in import demand, especially in some important markets such as Sweden, the UK, and North America. Some accidental factors may also have played a role. But increasing internal capacity limitations have probably been the most important factor. Order

1 Disregarding end-of-year swap transactions with the National Bank, the commercial banks' foreign position improved by as much as $ 1,154 million in 1968, leaving little room for a rise in official reserves.

2 Excluding swap transactions the commercial banks continued to improve their external position in the first nine months of 1969 (by $ 168 million) with an increase of official reserves of $ 153 million.

Table 6*a* **Balance of Payments**

US $ million

	1964	1965	1966	1967	1968 year	1968 1st qtr.	1968 2nd qtr.	1968 3rd qtr.	1968 4th qtr.	1969 year[2]	1969 1st qtr.	1969 2nd qtr.	1969 3rd qtr.
Total trade	−898	−650	−568	−524	−382								
of which : special trade[1]	−942	−709	−647	−605	−479	−151	−119	−141	−68	−577	−124	−163	−189
Total services	767	838	955	1 015	1 182								
of which : tourism	347	365	382	395	403								
investment income	211	259	316	355	439								
Balance on goods and services	−131	188	387	491	800	135	219	293	155	890	172	192	309
Total current transfers	−280	−257	−265	−251	−258	(−65)	(−65)	(−65)	(−65)	(−270)	(−65)	(−65)	(−65)
of which : remittances of foreign workers subject to control		−285	−293	−246	−255								
Current balance of payments	−411	−69	122	240	543	(70)	(154)	(228)	(90)	(620)	(107)	(127)	(244)
Non-monetary capital[3]				−127	610	(221)	(242)	(−64)	(212)		(−434)	(174)	(103)
Total non-monetary transactions				113	1 153	291	396	164	302		−327	301	347
Reflected in :													
Commercial banks' short-term foreign position (increase in net assets (+))				−62	526	706	8	454	−642		451	296	155
Balance of official settlements	148	61	−15	174	627	−415	388	−290	944		−778	5	192

1 Imports c.i.f.; exports f.o.b.
2 Semi-official November estimates.
3 Long-term capital plus public and non-bank short-term capital including errors and omissions.

Source : Monthly Report of the National Bank.

NOTE Figures in brackets are rough Secretariat estimates. Quarterly current balance of payments data have been calculated on the basis of national accounts estimates and the assumption of virtually constant quarterly deficits on current transfers. Figures on the balance of official settlements and the commercial banks' foreign exchange position are taken from BIS sources. All other data relating to capital movements have been calculated by way of difference.

Table 6*b* **Components of current Balance of Payments changes**

Contribution to Improvement (+)
US $ million

	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969[1]
Current balance total	−81	−305	−127	−22	−51	341	192	118	303	77
Merchandise[2]	−121	−301	−134	−33	−122	233	62	42	126	−98
of which : due to relative price changes	102	61	80	5	39	57	54	104	172	53
Services[3]	45	47	42	22	82	81	82	50	106	114
of which : due to relative price changes	32	17	27	15	38	34	47	51	45	60
Factor income	10	1	10	3	9	65	53	14	78	74
Transfers	−15	−52	−45	−14	−20	−38	−5	12	−7	−13

1 Semi-official November estimates.
2 Exports f.o.b., imports c.i.f.
3 Excluding the c.i.f. content of imports; including merchanting trade and electricity.

Source : La Vie économique.

Table 7 **Foreign Trade by Commodity Groups**
Percentage changes from previous year

	1965 value US $ mill.	1965	1966	1967	1968	1969 Jan.-Oct.
			Imports c.i.f.			
Raw materials and semi-finished goods	1 683	5.0	6.4	2.7	6.0	19.6
Lubricants and fuels	219	−0.4	2.6	8.2	17.0	0.7
Investment goods	610	−3.2	10.2	0.8	17.9	8.2
- excluding aircraft	584	−1.8	8.7	0.5	10.3	16.1
Consumption goods	1 167	2.6	6.3	8.8	7.9	17.1
Total	3 678	2.5	6.8	4.6	9.2	15.5
			Exports f.o.b.			
Raw materials and semi-finished goods	1 151	13.2	10.1	5.3	15.1	16.3
of which : chemical products[1]	585	11.5	11.1	8.3	14.8	20.9
Investment goods	928	12.4	10.3	7.2	14.1	17.2
Consumption goods	888	10.6	11.1	8.1	14.0	11.8
Total	2 971	12.2	10.4	6.8	14.4	15.2

1 Including finished goods.
Source : La Vie économique.

books have lengthened considerably and the vigorous recovery of home demand may have reduced export incentives. While in 1968 the expansion rates of exports were rather even as between main commodity groups, there has been a clear shift towards chemicals and investment goods during the first ten months of 1969. The growth of exports of consumer goods lost much of its earlier momentum.

Since the autumn of 1967, capital flows into and out of Switzerland have been heavily influenced by successive waves of currency speculation and political and social unrest abroad. Furthermore, there has been an important widening of interest rate differentials against Switzerland. Unfortunately, Switzerland's balance of payments statistics are still fragmentary, rendering an adequate analysis of capital movements practically impossible. However, from information on current transactions and official reserves, it can be inferred that the overall capital balance has, on average, remained in sizeable deficit. In 1968, security transactions produced an outflow of as much as $ 625 million. Long-term loans of banks and the Government led to an outflow of $ 141 million. In the first nine months of 1969, exports of Swiss capital in the form of purchases of foreign securities and long-term bank loans accelerated. Unrecorded

non-monetary capital transactions[1] seem to have yielded a net inflow of $ 1-1 ½ billion in 1968 which was reduced to some $ ½ billion in the first nine months of 1969.

Specific features of the upswing

The present business upswing has not yet reached its turning point but has lasted sufficiently long to allow some comparison with earlier periods of buoyancy. Diagram 2 shows the rates of expansion of total output, employment and labour productivity, the behaviour of prices and wages, and balance of payments developments during the last three business cycles covering a period of more than 15 years.

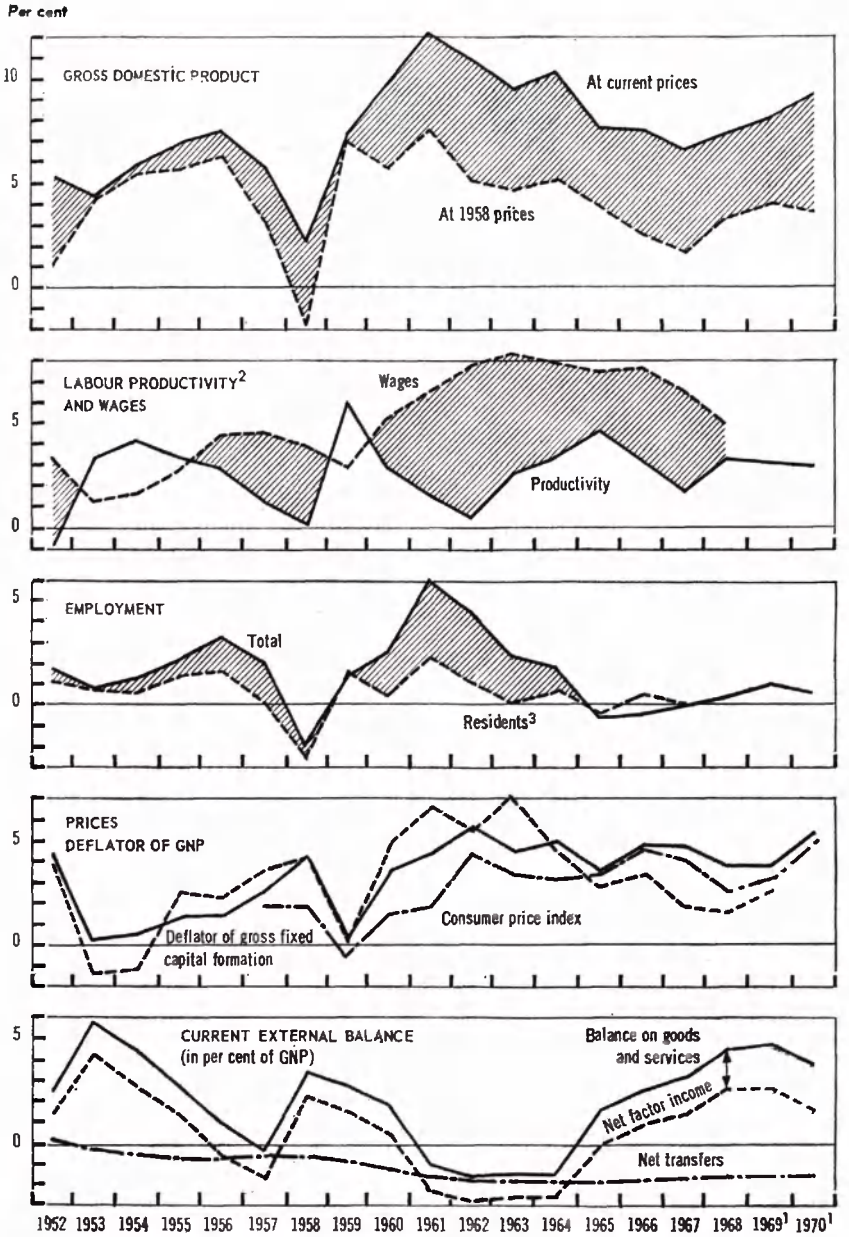
As can be seen from the diagrams, the latest business upswing has been much less pronounced than its two predecessors. But this reflects differences in the business and employment situation prevailing at the beginning of the upswing rather than differences in the relative strength of the boom. In fact, the 1953-54 and particularly the 1959-60 upturn had been preceded by a marked recession, with stable or even falling production, while in 1967 the trend of overall activity was still moderately upwards. Furthermore, the scope for increasing employment was extremely limited because of foreign labour restrictions and the absence of virtually any unemployment. Thus the amount of slack which could be absorbed in 1968 and 1969 was much smaller than during earlier periods of business recovery. Since 1965, the growth potential of the Swiss economy has been essentially determined by the underlying trend of labour productivity[2].

In spite of less elastic labour supply conditions and a higher degree of resource utilization prior to the upswing, the overall balance of the economy has developed much more favourably during the 1968-69 period than was suggested by earlier experiences. The trend of both wages and prices steepened throughout the 1953-56 expansion while productivity advances fell sharply after 1954. With a certain lag (reflecting the after-effects of the 1958 recession), the same was true during the 1959-64 boom. In contrast, the latest upswing saw a significant slowing down of wage and price increases in the first year, and compared with

1 The border-line between non-monetary capital and short-term banking transactions is not easy to draw since the reporting system of the commercial banks' foreign position does not seem to distinguish sufficiently between money exports on the banks' own initiative and placements on behalf of or for the account of bank customers.

2 See the OECD Economic Survey of Switzerland, December 1967, which examines in parts I and III the economic changes which have taken place since the authorities decided to restrict the influx of foreign labour.

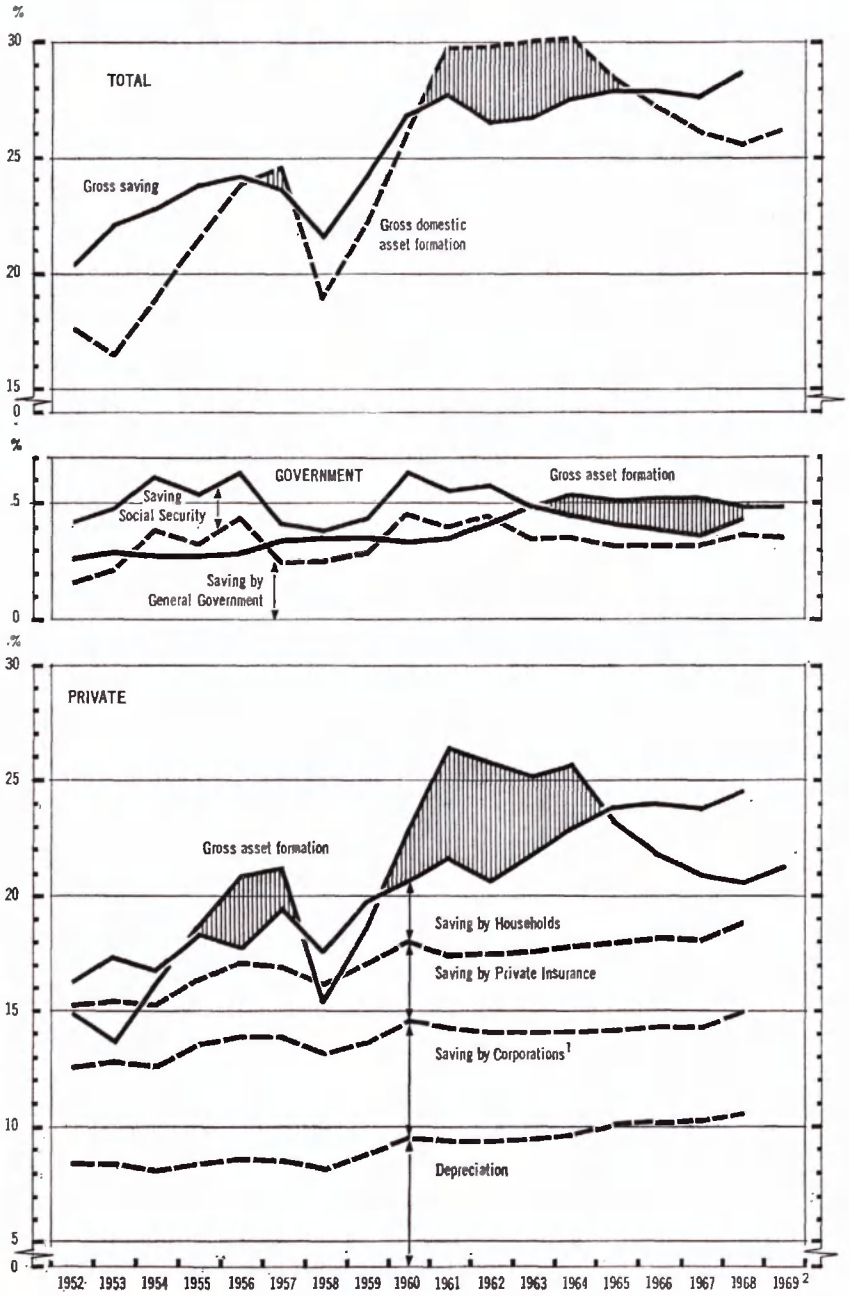
Diagram 2 Cyclical Behaviour of Business Indicators
Year-to-year changes



1 Estimates.
2 GDP per employed.
3 Including foreign labour released from control.

Sources : La Vie économique and Swiss submissions to OECD.

Diagram 3 Saving and Domestic Asset Formation
Per cent of GNP



1 Including public enterprises.

Source : La Vie économique and Swiss submission to OECD.

previous experience, little acceleration in the second year. There was no deceleration of productivity advances and the falling tendency of industrial unit labour costs has persisted until recently. Externally, previous boom periods had been associated with a progressive and rapid deterioration of the current balance of payments, while the contrary has been the case, at least until recently, during the present upswing.

The differences between the behaviour of the economy in each of the three upward cycles ought to be seen also in relationship to longer-term trends and structural changes. During the earlier two cycles, there was a clear tendency for price and wage movements to accelerate and for the external surplus to weaken (relative to the level of overall activity). These trends had certainly aggravated the difficulties into which the economy ran during the 1959-64 boom. By contrast, the relatively high degree of price and wage/cost stability and the improvement of the balance of payments registered during the last couple of years seem to reflect some change in the trend of prices and wages and a marked underlying strengthening of the balance of payments since 1964. The earlier period of mounting inflationary pressures must have had a healthy shock effect which has led to a reconsideration of policies and has created an adverse climate for any excessive wage and price claims. The change of balance of payments tendencies from a deterioration to an improvement has been assisted by various factors. First, the earlier rising trend of the propensity to invest has been reversed since 1962. This is reflected by a significant fall in the ratio of fixed capital formation to GNP. At the same time, the gross saving ratio continued to rise, making room for a relative shift of domestic resources from investment to net exports. Second, the elasticity of imports with respect to total demand seems to have been lower since 1962 than previously. This can probably be related to structural shifts of demand and output to less import-dependent activities and may also reflect a wider range of domestic supply and improved competitivity.

II ECONOMIC POLICY

In view of the favourable internal and external developments, economic policy in Switzerland was kept rather neutral until the late summer of 1969, when fears of possible overheating prompted the monetary authorities to take the first measures of restraint. The scope for such action has recently been enlarged by a convention between the

National Bank and the private banks. A tighter line of policy has also been adopted in the budget proposals for 1970, but the basic constraints under which the fiscal authorities are operating have not yet been reduced.

Monetary policy

The business upswing has been assisted by easy monetary conditions reflected in a continuous strengthening of bank liquidity. Market forces have, however, ensured a balanced situation of money and capital markets, with no need for corrective measures. There has been some upward pressure on interest rate levels, mainly emanating from abroad (see Diagram 3), and the attractiveness of foreign money and capital markets (coupled with favourable swap conditions) has helped to contain the potential risk of an excessive domestic expansion of money and credit.

However, the Swiss National Bank has decided to put an early brake on domestic credit expansion, in view of the recent steepening of price trends and the possible consequences on wage developments. The Bank agreed with the Swiss Bankers Association to restrict the growth of bank credit used in Switzerland to an annual rate of 9 per cent as from 1st August, 1969. The ceiling can be exceeded by half the difference between 9 per cent and the banks' actual expansion rate recorded over the average of the two years ending 30th June 1969, but only up to a maximum rate of 11.5 per cent. This move was followed by the decision to raise the official discount rate from 3 to 3 ¾ per cent as from 15th September and the Lombard rate on advances against securities by a full percentage point to 4 ¾ per cent. This measure was intended to bring official rates closer to market rates and to discourage somewhat the use of central bank credit for the financing of internal loans or capital placements abroad.

The credit restriction programme has been the first step taken within the framework of a recent Convention concluded between the Swiss National Bank and the private banks. The Convention came into force on 1st September, 1969, and will be valid at least until the end of 1974 (taking into account a minimum period of notice of 2 years). The agreement provides for the possibility of imposing minimum reserve ratios on incremental deposits and introducing global ceilings for the expansion of domestic bank credit. The procedure and rules thereby to be followed are virtually the same as laid down in the draft law on the revision of the National Bank Law of 1953, which was discussed in last year's OECD Economic Survey of Switzerland[1]. This bill was,

1 See pp. 31-32.

however, put aside after the parliamentary committee, which had been charged with the examination of the various aspects of the law, had given a majority vote in favour of a voluntary arrangement between the main contracting parties. The principal difference between the original proposals and the provisions now in force is that, in case of disagreement, the ultimate decision does not lie alone with the Board of Directors of the National Bank, but can only be taken in agreement with the National Bank Committee which is composed of the President and the Vice-President of the Bank and eight members of the Bank Council representing business and both sides of industry. The possibility for the National Bank to issue its own interest bearing debt certificates for open market purposes and to fix ceilings for public capital market issues, provided for in the draft law, has not been included in the Convention. It was considered that the existing National Bank Law would allow for a certain enlargement of open market operations and that capital market borrowing is controlled by a special commission which, under the chairmanship of the National Bank, acts on the basis of a voluntary issue control scheme introduced in March, 1967.

Money and Banking

Overall banking activity has increased rapidly during the last couple of years, reflecting the internal economic upswing as well as expanding banking relations with foreign countries. Between June 1968 and June 1969, the year-to-year increase of outstanding credit to domestic non-banks of 72 banks with a balance sheet of more than SF 100 million accelerated from 7.4 per cent to 11.2 per cent[1]; claims on banks and lending to non-residents also accelerated in absolute amounts, but slowed down in relative terms. It is interesting to note that during the first seven months of 1969 the volume of total new claims on banks exceeded new lending to non-banks significantly. A substantial part of inter-bank assets have been accounted for by placements with foreign banks. The net asset position vis-à-vis other credit institutions of the seventy-two banks covered by current statistics amounted to SF 11,464 million at the end of September 1969 as compared with SF 8,817 million twelve months earlier.

The sharp rise in lending activity has been accommodated by a continuous rapid inflow of deposits, some running down of cash balances, and increasing recourse to National Bank credit facilities. During the

1 Between the end of June and August, the rate accelerated by 2 points.

Table 8 **Selected Assets and Liabilities of 72 Banks**

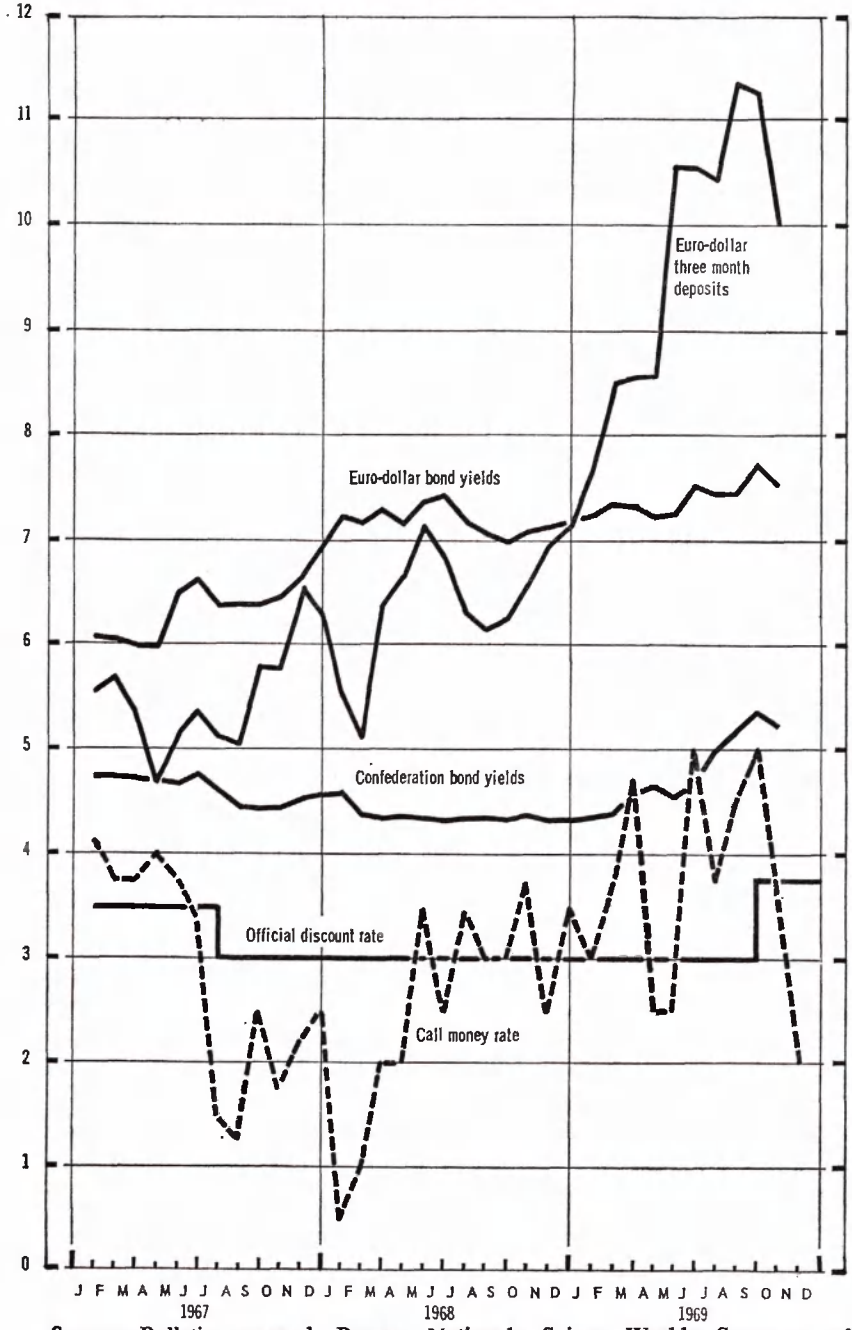
SF million

	end 1968	Increase or decrease					
		1965	1966	1967	1968	Jan.-Sept. 1968	Jan.-Sept. 1969
Assets :							
Cash position	7 250	100	81	642	1 684	11	−79
Claims on banks	20 400	802	421	3 775	7 294	7 425	8 464
Lending to non-banks	75 712	4 690	4 875	6 142	6 812	4 148	8 769
Mortgages	32 523	1 705	1 775	1 992	2 732	1 741	1 917
Loans to public authorities	4 424	523	404	459	260	83	191
Other loans	32 769	2 052	2 763	2 791	3 643	2 561	6 765
Discount credits	5 996	410	−67	901[1]	177	−237	−104
Liabilities :							
Liabilities to banks	13 382	356	668	2 595	5 023	3 355	4 018
Deposits from non-banks	64 332	3 294	3 437	4 642	8 334	6 289	11 020
Sight	18 970	413	190	1 186	2 685	2 266	1 649
Time	16 505	1 153	1 437	1 174	2 710	2 100	8 081
Savings and deposit accounts	28 857	1 728	1 810	2 282	2 939	1 923	1 290
Own Bonds	25 028	2 030	1 121	2 792	3 021	2 108	1 719
of which : Medium-term	15 446	1 245	440	2 147	2 325	1 771	1 334
Incremental non-bank deposit/lending ratio		0.70	0.71	0.76	1.22	1.51	1.26

1 Including S.F. 260 million purchases of BIS provisionary notes.

Source : Monthly Report of the Swiss National Bank.

Diagram 4 **Interest Rates**
End of month



Source : Bulletin mensuel, Banque Nationale Suisse; Weekly Summary of Interests, Bank of England ; Selected Interest Rates for Major Countries and the United States, Federal Reserve Board.

first eight months of 1969, deposits from non-banks rose by 17 per cent, exceeding the amount of new lending to non-banks by 25 per cent. As can be seen from Table 8, there has been a conspicuous shift in the relative composition of deposits from sight and saving to time deposits, which, assisted by a change in the interest-rate structure, has been primarily due to a strong expansion of Euro-dollar business. Between April 1968 and June 1969, the three-month deposit rate of big banks was raised from 2.75 per cent to 5 per cent. The response of Swiss medium-term interest rates to the sharp increase abroad has been relatively weak. Capital market activity has remained roughly at last year's level. Domestic bond issues, net of conversion issues, in January-September 1969 fell back to the corresponding 1966 level; the earlier marked rise in foreign issues was reversed; but placements of shares showed a continuous buoyancy (see Annex Table F).

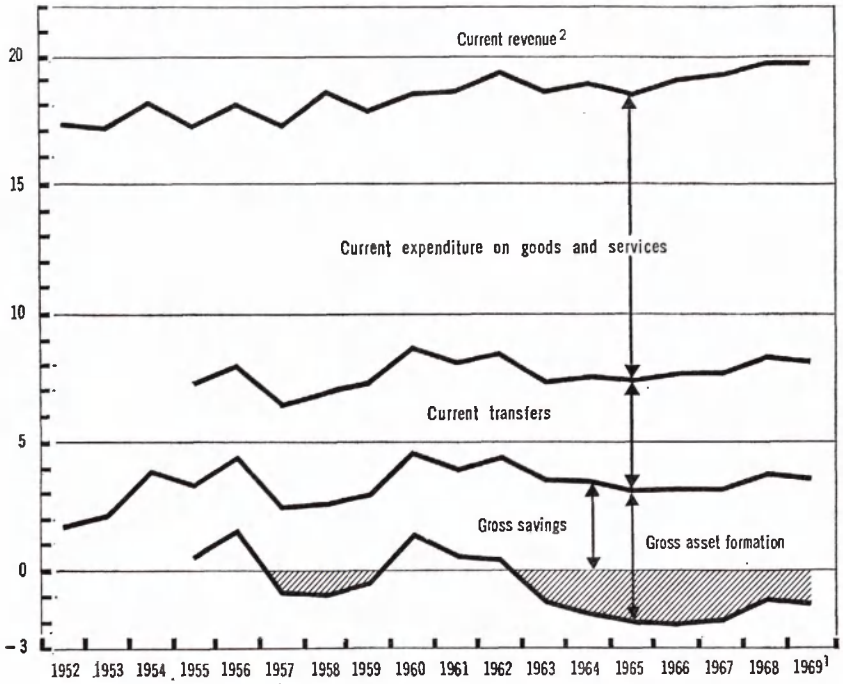
Public finance

The overall impact of public finance on the economy appears to have been moderately restrictive or neutral during the last three years (1967-69) following six consecutive years of expansionary tendencies. The share in GNP of total government spending on goods and services (federal, cantonal and local, excluding Social Security) has practically remained unchanged at the peak of 16.5 per cent attained in 1966. But owing to a steeper trend of current receipts, the financing gap between investment and current saving has diminished (implying a decreasing deficit on "income effective" transactions). The small increase likely to be registered in 1969 can fully be attributed to the uneven incidence of the federal defence tax[1].

Diagram 5 shows the behaviour of total government current receipts and income-effective spending over more than two full business cycles. During the economic upswing of 1953-56, the subsequent downturn (1957-58), and the following recovery (1959-60), all economically relevant balances clearly moved in a counter-cyclical manner. The same is true, though less markedly, for the last cooling-off period (1965-66) and the recent upswing (1968-69). It may be asked why this favourable pattern (reflecting built-in budget stabilizers as well as discretionary measures on the expenditure side) failed to operate during the years

1 Receipts in even calendar years are inflated by advance payments resulting from the two-yearly cycle of the defence tax. In 1968, anticipatory payments on 1969 tax liabilities may have been of the order of SF 150 million.

Diagram 5 **General Government Transactions (Excluding Social Security)**
In per cent of GNP



1 Secretariat estimates.

2 Figures for 1952-1956 are Secretariat estimates.

Source : La Vie économique.

of excessive boom conditions (1961-64) when there was clearly a strong need for restraint for the first time in Swiss post-war history. As can be seen from the diagram, the previous rising tendency of the ratio of tax receipts to GNP was slightly reversed in 1963-65. This was due to reductions of customs duties and the introduction of a 10 per cent rebate on the national defence tax. The slower growth of receipts coincided with a steepening trend of all main expenditure components. It is to be noted that during the previous decade, the Swiss infra-structure had been allowed to deteriorate relative to actual needs. It was, therefore, felt that a removal of existing bottlenecks could no longer be delayed.

The persistence of financial deficits on general government account since 1963 points to an underlying change of the financial position of the public sector, even though the sharp deterioration which was forecast

Table 9 **General**
Excluding
SF

		1955	1956	1957	1958	1959
1	Current expenditure on goods and services	2 740	2 915	3 330	3 620	3 590
2	Subsidies and transfers	1 090	1 075	1 205	1 385	1 445
3	Total current expenditure (1 + 2)	3 830	3 990	4 535	5 005	5 035
4	Total current revenue net of interest on public debt	4 695	5 280	5 300	5 805	6 005
5	Gross saving (4 − 3)	865	1 290	765	800	970
	— per cent of total net national saving	20.8	29.3	16.5	18.8	18.6
	— per cent of public investment	112.3	151.8	73.2	72.4	81.5
6	Gross asset formation	770	850	1 045	1 105	1 190
7	Financing requirements — balance of income effective transactions (6 − 5)	−95	−440	280	305	220
8	Gross national product	27 265	29 285	30 870	31 520	33 840
9	(1) + (6) in per cent of (8)	12.9	12.9	14.2	15.0	14.1
10	(7) in per cent of (8)	−0.3	−1.5	0.9	1.0	0.7
NOTE :						
Interest on public debt in per cent of current receipts		9.9				
Debt in per cent of current receipts		247				

Source : La Vie économique, figures in brackets are Secretariat estimates.

earlier failed to materialize. Since 1966, the authorities have been studying ways and means of checking the increase of expenditure and seeking new and better sources of finance. An emergency programme was drawn up in 1966 to adjust receipts to the increased financial requirements of the Confederation. This programme was, however, rejected by Parliament in the spring of 1967 when it had become clear that the medium-term projections on which the proposals had been based were unrealistic. Since then, efforts have been concentrated on a revision of the "Financial Order" (Finanzordnung) before its legal ending in 1974. The aim of raising receipts to bridge the financial gap has been maintained; but in the light of much more favourable developments, the measures proposed to this end have been reconsidered and adjusted several times. In September 1969, the Federal Council submitted to Parliament a revised tax programme to take effect as from 1st January, 1971 (see below).

The Federal Budget

Federal budget expenditure in 1969 (covering about one-third of total gross public spending) is unlikely to exceed the 11 per cent rise initially envisaged (on 1968 results) by more than 1 per cent. With

Government Account

Social Security
million

1960	1961	1962	1963	1964	1965	1966	1967	1968	1969
3 620	4 320	5 015	5 645	6 210	6 620	7 310	7 860	8 410	(9 100)
1 495	1 685	1 848	1 935	2 300	2 555	2 930	3 190	3 440	(3 700)
5 115	6 005	6 860	7 580	8 510	9 175	10 240	11 050	11 850	(12 900)
6 805	7 665	8 900	9 335	10 465	11 035	12 250	13 165	14 565	(15 800)
1 690	1 660	2 040	1 755	1 955	1 860	2 010	2 115	2 715	(2 900)
26.3	22.5	26.1	20.5	19.9	17.4	17.5	17.8	20.3	—
139.7	113.3	108.2	72.4	65.8	60.8	59.5	(60.4)	(74.2)	(73.4)
1 210	1 465	1 885	2 419	2 967	3 054	3 380	(3 500)	(3 600)	(3 950)
−480	−195	−155	669	1 016	1 199	1 370	(1 385)	(945)	(1 050)
37 055	41 490	46 050	50 370	55 540	59 985	64 625	68 825	74 040	(80 150)
13.0	13.9	15.0	16.0	16.5	16.1	16.5	(16.5)	(16.3)	(16.4)
−1.3	−0.5	−0.3	1.3	1.8	2.0	2.2	(1.0)	(1.3)	(1.3)
8.1			6.6	6.6	6.8	7.1	7.5	7.5	
172					123	122			

receipts increasing much faster than foreseen, the overall budget account, before debt redemption, may be roughly in balance instead of showing a deficit of more than SF 400 million (0.5 per cent of GNP) as originally forecast. Developments in 1968 were quite similar: the budget had closed with a surplus of SF 157 million instead of the initially forecast deficit of SF 180 million.

Recent improvements in the field of budget statistics and the new practice of budgeting defence tax receipts[1] have removed two main obstacles to adequate budgetary analysis. In Table 10, Federal Government budget activities are classified by standard national accounts sub-divisions. Four main types of transactions can be distinguished:

(*i*) transactions with a direct and immediate impact on incomes and output (expenditure on goods and services);

(*ii*) transactions with a direct impact on disposable income (current receipts, current transfers and subsidies);

(*iii*) transactions which directly add to the spending power of other sectors (capital transfers);

1 See footnote (3) to Table 10.

(*iv*) other capital supply (loans and participations).

Excluding multiplier effects, the first two groups of transactions can be regarded as having roughly similar effects on the economy.

The net impact of all income-creating and income-absorbing transactions of the Federal budget is shown in line 5 of Table 10. The balance has regularly been positive, tantamount to a recurrent reduction of disposable income of other sectors of the economy. In terms of GNP, the surplus (adjusted for the biennial incidence of the defence tax) rose steadily from 1.4 per cent in 1966 to 1.9 per cent in 1968, and may drop to 1.5 per cent in 1969. However, allowing for the fact that defence expenditure in 1969 was boosted by accidental delays in the purchase of military goods abroad, the internally effective income surplus may have further increased in 1969, suggesting that this part of budget activity has probably continued to exert mildly restrictive effects on economic expansion.

On the other hand, the Federal Government has traditionally been an important and growing net supplier of capital which, in absolute terms, exceeded the surplus on income-effective transactions in 1967, and probably also in 1969. At least as far as capital transfers are concerned (largely to local authorities and other subordinate government bodies), it can be argued that the economic effects are similar to those of current income transfers. Both types of transactions increase definitively the spending power of the recipient. And since capital transfers have been effected on a regular basis, they have thus almost taken the form of a permanent claim. It can, therefore, be assumed that demand effects induced by capital transfers are offsetting the effects resulting from corresponding surpluses on income account. The residual budgetary net impulse is reflected in the financial balance (line 7 of the Table). Since capital transfer payments have shown a smooth upward trend during recent years, the financial balance has moved practically in line with the balance of income-effective transactions. Adjusting the 1966-67 current receipts for the defence tax cycle and allowing again for the effects of shifts in military purchases, the underlying position changed from equilibrium in 1967 to a moderately rising surplus.

An improvement of the financial balance does not, of course, necessarily mean that the overall effect of the budget has been restrictive. The extent to which this may be the case depends also on the way and the extent to which the government influences private and local authorities demand through its lending operations. This form of generally cheap capital supply can also induce expenditure which otherwise would not have taken place. This is particularly true if credit and capital market conditions are tight. Recent years have seen a sharp rise in Federal

Table 10 **Federal Finance**

Classified by Economic Categories
SF billion

	Closed Account			Voted Budget		Gov. Proposals	Projections	
	1966	1967	1968	1968[1]	1969	1970	1971	1972
1 Expenditure on goods and services		2.32	2.36	2.54	2.61	2.79	2.94	3.10
(in per cent of GNP)		3.4	3.2	3.4	3.3	3.3	3.2	3.2
2 Current transfer payments[2]		2.38	2.83	2.87	3.18	3.35	3.61	3.89
3 Total « income effective » spending	(4.52)	4.69	5.19	5.41	5.79	6.13	6.54	6.98
4 Current receipts[3]	5.64	5.67	6.56	6.28	6.68	7.52	7.83	8.46
5 BALANCE OF « INCOME EFFECTIVE » TRANSACTIONS (4 – 3)	(1.12)	0.98	1.37	0.87	0.88	1.38	1.29	1.48
(in per cent of GNP)	1.7	1.4	1.9	1.2	1.1	1.6	1.4	1.5
6 Net capital transfer payments	(0.98)	1.00	1.03	1.06	1.07	1.16	1.23	1.36
7 FINANCIAL BALANCE (5 – 6)	(0.14)	–0.02	0.34	–0.19	–0.19	0.23	0.06	0.11
(in per cent of GNP)	0.2	–0.0	0.5	–0.3	–0.2	0.3	0.1	0.1
8 Lending and participation, net	(0.13)	0.14	0.18	0.20	0.25	0.24	0.21	0.22
9 EXCESS SPENDING (net borrowing requirements) (8 – 7)	–0.01	0.16	–0.16	0.39	0.43	0.02	0.16	0.11
(in per cent of GNP)	–0.0	0.2	–0.2	0.5	0.5	0.0	0.2	0.1
N.B.								
10 Net change in non-monetary assets[4]	0.28	0.36	0.40	0.27	0.32	0.42	0.41	0.36

1 Including supplementary budget expenditure.
2 Including interest payments.
3 From 1968 onwards, the former practice of budgeting advance payments resulting from the two-yearly cycle of the defence tax has been discontinued. As 1968 has been a year of relatively high defence tax payments, anticipatory payments of about S.F. 150 million have been included in the 1969 budget proposals. Receipts for 1970-72 have been adjusted in a similar way.
4 Surplus on the "Compte des variations de la fortune".

Source : Swiss Federal Administration.

net lending and participation (see line 8) which almost offset the reduction of spending power resulting from the above-noted strengthening of the internally effective financial surplus. In striking the balance between all stimulating and restraining effects, the above analysis suggests that since 1967 the Federal budget has no longer given any net stimulus to economic activity and may even have exerted some dampening influence. This impression is also supported by the fact that the Federal Government, through budget and other financial operations, has regularly absorbed substantial amounts of domestic liquidity.

The 1970 budget proposals, presented to Parliament at the end of October, foresee expenditure increases of about 5 per cent over estimated actual spending in 1969 and a slightly faster rise in receipts[1], leaving a small deficit before debt redemption of SF 17 million. Compared with the likely results for 1969, the 1970 estimates do not imply any significant change of the neutral or moderately restrictive line of policy. Both the deflationary "income surplus" and the financial surplus (lines 5 and 7 of Table 12) are foreseen to rise in comparison with the probable 1969 outcome, but relative to GNP will not regain the 1968 ratios. The absorption of domestic liquidity is estimated at about SF 350 million after SF 450 million in 1969.

The 1970 budget document includes a medium-term forecast of federal finance. Expenditure is expected to rise by 6.4 per cent in 1971 and 7.0 per cent in 1972. Assuming an average annual rate of growth of nominal GNP of 7 per cent, current receipts are foreseen to rise by only 4.5 per cent in 1971 and 7.8 per cent in 1972. The new estimates deviate substantially from earlier projections, notably on the revenue side where tax receipts have been continuously revised upwards. Compared with the projections established a year ago, the "revenue gap" has been brought down from SF 564 million to only 17 million in 1970, from SF 595 to 159 million in 1971, and from SF 689 to 108 million in 1972. Earlier estimates of a government-nominated group of experts, published in 1966, suggested that, on the assumption of a 6.5 per cent annual rate of growth of nominal GNP, the deficit would have exceeded SF 1 billion in 1969 to attain as much as SF 1.7 billion in 1972.

Although the Federal financial position has proved to be much stronger than had been implied in earlier budget forecasts, the Government has adhered to its plan to modify the "Financial Order" of the Confederation before its legal ending in 1974, both with a view to raising

1 Compared with the 1969 initial estimates, expenditure is expected to rise by 6 per cent and receipts by 12.6 per cent.

additional revenue and to strengthening the discretionary power of Parliament in the field of tax rate changes. The proposals which have recently been submitted to the Federal Assembly foresee among other things that with effect from 1971:

(*a*) the 10 per cent rebate on turnover tax should be cancelled; this would bring the rates for retail and wholesale trade back to the 1955 level of 4 and 6 per cent respectively;

(*b*) the turnover tax base for the building industry should be enlarged so as to increase the average tax burden on building output from 2.2 to 3 per cent;

(*c*) the rebate on the defence tax should be reduced from 10 to 5 per cent and the maximum rate on personal income increased from 8 to 9 per cent; at the same time, both tax-exempt basic income and "social allowances" (deductions from taxable income) should be raised in order to compensate for the fiscal drag which results from the combined effect of inflation and progressive tax rates;

(*d*) the legal basis for the turnover and defence taxes should be made permanent and Parliament should be enabled to change tax rates within the constitutionally fixed limits without approval by way of referendum.

The tax measures listed under (*a*), (*b*), and (*c*) would involve tax gains of the order of SF 200-300 million annually in 1971-74, more than offsetting the forecast deficits in 1971-72. In view of the time-consuming legal procedure (a referendum is required), it may, however, be difficult to put the new programme into action in 1971 as suggested by the Government[1].

III PROSPECTS AND CONCLUSIONS

Since the middle of 1968, the Swiss economy has been characterized by a full scale upswing, which has been associated with a remarkable acceleration of productivity advances in industry. The export boom has lost some momentum in recent months, but business investment and

1 See Annex Note on the Role of Fiscal Policy in Switzerland.

residential construction have shown a vigorous revival. The buoyancy of home demand has been reflected in a steep trend of imports which halted the earlier strong increase of the current external surplus. With widening interest rate differentials against Switzerland, there has been a continued net outflow of capital. Under the impact of inflationary tendencies abroad and tightening supply conditions in some sectors of the economy, price developments have become less favourable than during the earlier phase of the business upswing. A relatively high degree of price stability has, however, been maintained at the consumers' level and the 1969 price deflator for investment in machinery and equipment has been the lowest since 1960. The pressure on wages so far has also remained relatively moderate, contributing to a further fall of unit labour costs in industry.

The 1970 outlook is for a continuation of the present business upswing, with some further shift of the expansionary forces from exports to domestic private demand. The total growth of OECD countries' export markets may slow down from an estimated rate of 16 per cent in 1969 to some 10 per cent[1], but the deceleration of Swiss sales abroad should be less marked, given the comfortable order book and cost position of industry and the favourable geographical and commodity structure of Swiss foreign markets[2]. The devaluation of the French Franc and the revaluation of the Deutschmark, coupled with the abolition of the import rebate, may, on balance, not have much effect on Swiss exports. During the twelve month period preceding the two recent parity changes, exports to the Federal Republic of Germany accounted for about 15 per cent of total Swiss exports and exports to France for less than 9 per cent. Assuming import price elasticities of 1 in both France and Germany and no induced price adjustments by Swiss exporters, the French devaluation would result in a loss equivalent to about 1 per cent of total exports (full year basis) whereas the German measures would yield a gain of 0.8 per cent. The net effect on exports to third markets and on tourist receipts may, however, be positive[3].

1 See OECD Economic Outlook, December 1969.

2 According to the latest semi-official forecast (established in November), the expansion of merchandise exports would slow down from more than 15 per cent in 1969 to some 13 per cent in 1970, while earnings from non-factor services would increase by the same rate as in 1969 (10.2 per cent).

3 The import bill would remain unaffected if demand elasticities of 1 with respect to price changes of French and German import goods are assumed. But it would be higher if Swiss import/price elasticities vis-à-vis German products are less than 1 and vis-à-vis French products more than 1 (a likely constellation in the short-run, given the differences in the composition of imports and the opposite price changes).

The probable weakening of the demand stimulus from abroad may be counterbalanced by a greater buoyancy of private domestic demand[1]. With earnings likely to rise faster, the trend of private consumption should steepen. Up to now, trade unions have shown a remarkably high degree of moderation in their claims. Wages in industry have lagged behind the rise of industrial productivity and, despite the tighter labour market, the tendency to bid up wages has remained rather limited. But the recent sharp rise of profits and productivity in industry and the expectation of higher price increases will probably lead to higher claims. Wage developments in neighbouring countries and the German revaluation have reinforced this tendency.

The expansion of private investment activity should also accelerate. During 1969, demand for residential construction and business building has exceeded supply by important margins, suggesting a continuation —if not an acceleration—of the building boom in 1970. Residential building permits issued during the first half of 1969 in communes of more than 2 000 inhabitants were almost 20 per cent higher than in the first half of 1968 and the volume of industrial building projects inspected during the first three quarters showed a rise of more than 35 per cent, suggesting a steepening trend of investment in machinery and equipment. This impression is supported by current business surveys indicating a steady lengthening of order books and some fall of stocks. Significantly more entrepreneurs consider that their orders on hand are too big and their inventories of finished manufactures too small, rather than the reverse.

Thus, on balance, it would seem that 1970 will be a year of rising demand pressures. With the gradual absorption of the previous slack, supply has become less elastic. Increasing tensions are already becoming manifest in the building and the labour markets; with unchanged foreign labour policy, it may be unrealistic to count on another 1 per cent increase in employment, as seems to have occurred in 1969. But taking into account the buoyancy of investment, the overall rise of labour productivity ought to be roughly maintained at the present rate of 3 per cent —a relatively low rate of advance by the standards of most other highly industrialized countries. Nonetheless, the competitive position of Switzerland in international markets, at least as far as costs are concerned, has strengthened in recent years. There seems little risk of an early

1 The semi-official forecast for 1970 suggests an acceleration of real growth of total home demand from 5.0 per cent in 1969 to 5.9 per cent in 1970.

change, although in cannot be excluded that the downward tendency of unit labour costs in industry might be reversed.

In general, forecast trends of demand and output would seem to justify the recent change of policies in a a more restrictive direction. But there is clearly a problem of choice of appropriate instruments of demand management. There are three important points to be borne in mind. First, the revival of private domestic demand is relatively recent and has, except in building, not assumed excessive proportions. The faster rise of real consumption levels should be welcomed from an equity and welfare point of view as it has been compatible both with real supply potentialities and balance of payments requirements. Intensified rationalization efforts, as reflected in rising demand for machinery and equipment, should also be appreciated from the point of view of longer-term growth and stability. Second, the expected deterioration of the demand-supply balance is primarily a consequence of the unprecedented export boom, which has boosted the external balance on goods and services to an exceptionally high level. The present forecasts assume that exports will still remain a highly expansionary component in 1970. Third, an important part of past and prospective price increases can be ascribed to direct or indirect effects of inflationary tendencies abroad.

Thus, for the greater part, Switzerland has imported boom conditions and inflationary tendencies from abroad. The resulting difficulties have been aggravated by the revaluation of the currency of Switzerland's most important trading partner, Germany[1]. Many observers expected Switzerland to follow the German step and revalue as a means of defending the balance of the economy against demand and price pressures emanating from abroad.

The decision not to revalue the currency had several causes. First, neither the Government nor the National Bank can take such a decision. A parity change of the Swiss Franc to gold would involve the "coin law", which can only be altered by Parliament. Second, Switzerland has traditionally maintained that the system of fixed and unchangeable exchange rates is the only real guarantee for monetary discipline and that strict adherence to the system would outrule currency speculation; apart from 1936, the Swiss parity has never been changed. Third, Swiss exporters are facing a certain discrimination in the Common Market and it was thought that some industrial branches and the tourist trade might run into difficulties if the currency were revalued.

1 Merchandise imports from Germany account for about 30 per cent of total imports. (For exports, see page 34).

Since revaluation has been excluded as a means of checking the spread of inflationary tendencies from abroad, the authorities are presently considering taking further measures of restraint in the monetary and budget field. But the scope for taking rather selective measures on both the demand and the supply side should also be examined. The apparent excess demand situation in the building sector could be eased by a re-introduction of quantitative building controls. Furthermore, active consideration should be given to the stimulation of imports by unilateral tariff cuts and other means. It may also be possible to stiffen the conditions for export risk guarantees. But the problems facing economic policy at present illustrate the need for improved and flexible instruments of demand management. Progress in this direction has been rather limited over the last few years.

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Annex I

PROBLEMS AND EXPERIENCE OF FISCAL POLICY IN SWITZERLAND

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Annex I

PROBLEMS AND EXPERIENCE OF FISCAL POLICY IN SWITZERLAND[1]

As noted in previous OECD Surveys[2], economic policy-making in Switzerland is seriously hampered by the inadequacy or lack of instruments. This can be traced to institutional, political and psychological factors, as well as to particular aspects of Swiss history. Switzerland is constitutionally and effectively a Confederation of autonomous entities, allowing for only a limited degree of centralization. The Federal Government's gross share in total public finance amounts to only one-third and the type and size of revenue the Confederation can levy are defined in the Constitution, which can only be changed by the cumbersome referendum procedure. About 40 per cent of fiscal revenue is accorded the Confederation on a "temporary" basis[3]. The ordinary receipts of the Confederation consist largely of revenue from indirect taxation, customs duties and the defence tax on income. These taxes are not particularly well suited to demand management purposes. There is still a lack of public understanding of the problems of demand management and the role which the public sector could play.

For a long period, this state of affairs seemed compatible with a healthy economic development. Indeed, Switzerland's post-war economic history represents an outstanding example of a market economy which, during a period of about fifteen years, achieved and reconciled the main goals of economic policy without major policy intervention. Between 1945 and 1960, Switzerland enjoyed a relatively well sustained high rate of growth with rapidly rising living standards, maintained full employment and experienced an extraordinarily high degree of internal and external financial stability. During the 'fifties, real GNP rose at an average annual rate of about 4.5 per cent, with an increase in output per employed

1 See the recommendations in Annexe II by a group of fiscal experts on the use of fiscal policy.

2 See in particular the December 1966 Survey, pp. 22-27.

3 The authorisation of the Federal Government to levy taxes on turnover, income and beer is constitutionally limited in time and would expire in 1974 if it were not extended or made permanent as recently proposed by the Government.

person of some 2.5 per cent. The cost of living index rose by less than 1.5 per cent annually, and the current external account remained in a comfortable surplus.

This picture was disturbed when the 1960-61 boom got under way. The steepening trend of demand involved heavy pressure on domestic resources. Prices and cost rose substantially and the current balance of payments deteriorated rapidly despite vigorously growing exports. In sharp contrast to earlier periods of business upswing, public finance did not move in a counter-cyclical manner (see Diagram 5). The effects of built-in budget stabilizers were over-compensated for by tax cuts and a marked stepping up of public spending programmes in response to the pressing need to improve the Swiss infra-structure which, during the 'fifties, had been allowed to deteriorate substantially relative to current requirements.

The introduction of the Stabilization Programme in 1964[1] was an acknowledgment of the fact that the Swiss economy could no longer be controlled by the traditional policy means. More importantly, it marked the beginning of a general re-orientation of economic policies. The programme was devised as a stop-gap measure to gain time while new instruments of demand management were to be prepared. It included a number of emergency measures which, for a limited period of time, enlarged the legal basis for policy action[2]. The need to accord the authorities a more permanent set of adequate policy instruments has since remained in the fore of public debate, but progress in this direction has been rather limited over the last few years, notably in the field of fiscal policy[3].

Some pre-conditions, in the field of statistics, for the formulation of fiscal policy have been established in recent years. Since 1967, the Central Government's budget accounts and proposals have been classified by broad economic categories (see text Table 10) forming the basis for the new current exercise of medium-term projections. Improvements in the statistical recording of current budget activities are in preparation. But the present practice of presenting the budget documents without revised estimates of the likely outturn of the previous year's budget renders the assessment of budgetary effects difficult, especially if initial estimates are much out of line with actual trends.

While it may thus be hoped that the remaining statistical obstacles to adequate economic analysis will be removed within a reasonably short

1 See OECD Surveys of Switzerland, February 1965 and February 1966.
2 The programme came to its statutory end in March 1967.
3 See, pages 28 and 32 to 33.

period of time, other more fundamental constraints under which the Federal Authorities are operating would seem more difficult to overcome. Under the present constitutional arrangements, neither the Federal Government nor the Parliament can make discretionary changes in tax rates, tax allowances and Social Security contributions, or introduce new taxes. Legislative procedures are particularly time-consuming in Switzerland and the practice in some other countries of back-dating tax changes to the moment when proposals were first made is not considered by the Swiss authorities as an appropriate way to increase the timeliness of tax changes. A revision of the "Financial Order" of the Confederation along the lines recently proposed by the Government (see page 33) would enable the Parliament to change turnover and defence tax rates by 10 per cent below and above the constitutionally fixed limits without approval by way of referendum. But even if the bill is passed, the influence of the Government on private demand would still appear to be much more limited than in most other countries. The Swiss authorities could profitably draw on the experience of certain other countries—e.g. Sweden, where the Investment Reserve Fund Scheme provides an example of a means of influencing the timing of private investment without changing tax rates or allowances.

The automatic response of income tax revenue to changes in economic trends is relatively slow in Switzerland, because neither the taxation of business profits nor the collection of income taxes on wages and salaries have been put on a "pay-as-you-earn" basis. The Federal income tax (National Defence Tax) is based on the average income received in the years preceding the reporting year. Tax payers have the choice of paying their taxes either in one lump sum at the beginning of the two-year tax period or in a number of instalments. In the first case, they can deduct a premium from their tax bill. This explains the biennial cycle of defence tax receipts[1]. The Swiss authorities recognize the desirability of shortening as much as possible the lags in payments but would not seem ready to abandon the present system of self-assessment. It is to be noted, however, that the destabilizing features of the Federal income tax are offset by the relatively high cyclical sensitivity of the turnover tax —reflecting the fact that there are important tax exemptions at the consumer level but that investment goods are fully taxed and account for some 50 per cent of sales tax revenue.

At the Federal level, the degree of flexibility of spending would also seem to be extremely limited, and the type of expenditure is not

1 Up to 1967, the alternation of high- and low-yield years had been fully reflected in the Federal budget; since then, defence tax receipts have been budgeted on an accrual rather than on a payments basis.

particularly suited for demand management purposes. In 1968, investment expenditure by the Confederation itself accounted for less than 4 per cent of its total spending (1.3 per cent of domestic gross fixed asset formation). The share of current expenditure on goods and services, excluding salaries and defence, is even smaller. National defence expenditure represented 27 per cent of total Federal spending, current and capital transfers to local authorities more than 30 per cent and transfers to the private sector (including contributions to Social Security and interest on public debt) 29 per cent. It is true that about 50 per cent of transfers to local authorities consist of capital grants to Cantons which are not fixed by law; but the scope for discretionary changes is probably small, given the need for the budget to be approved by both houses of Parliament.

The weight of local authorities in the public sector highlights both their own responsibility in the field of economic policy and the need for an adequate co-ordination of stabilization measures at all levels of Government. Otherwise an undue share of cyclical adjustment is bound to fall on the private sector. The Federal Government can exert little direct influence on the financial policies of Cantons and municipalities; but their would seem scope for a closer co-operation and better exchange of information between the different public bodies without weakening the local autonomy which is so marked a characteristic of Swiss life.

Annex II

THE RECOMMENDATIONS BY THE EXPERT GROUP ON THE USE OF FISCAL POLICY

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FISCAL POLICY FOR A BALANCED ECONOMY

«Fiscal policy for a balanced economy» OECD, Paris, 1968 is a report prepared by a group of experts[1] *appointed by the Secretary-General of the OECD to study the use of fiscal policy as an instrument for maintaining economic balance, to identify the obstacles to an appropriate use of fiscal policy, and to propose ways in which these obstacles might be overcome. The report is based on a review of the experience of fiscal policies since the mid-1950's in seven countries—Belgium, France, Germany, Italy, Sweden, the United Kingdom and the United States—as well as of their institutions and practices in this field. The report concludes with a series of recommendations which are listed below.*

A THE NEED FOR FULLER ECONOMIC INFORMATION AND PUBLIC UNDERSTANDING

We believe that in most countries governments should review, and supplement where necessary, the resources they devote to the analyses of economic trends, the forecasting of developments and to the estimation of the effects of policies. We also suggest, as a general aim, that the essential data on which governments themselves base their decisions should be made fully available to the public. Only thus can be fostered a body of opinion, both within legislatures and in the society at large, capable of following the processes of reasoning by which governments have to move from fact and probability to assessment and decision.

We therefore suggest that:

Recommendation No. 1. A basic requirement for the formulation of fiscal policy is the correct appraisal of current economic trends. In a number of countries, official economic forecasting is little developed and has not been integrated into the budget process. Most countries could profitably improve upon, and add to, the use of resources devoted to tasks of economic forecasting and analysis, including improvement in the scope, accuracy and timeliness of basic economic statistics.

Recommendation No. 2. Governments should publish economic forecasts in greater detail and with fuller documentation than is often

1 Walter W. Heller, Chairman, Cornelius Goedhart, Guillaume Guindey, Heinz Haller, Jean Van Houtte, Assar Lindbeck, Richard Sayers, Sergio Steve and J.C.R. Dow.

now the practice. Such forecasts should clarify expected trends and relate to the same period as the proposed fiscal programmes. The current practice in some countries of presenting forecasts in terms of changes between the current and last calendar years is not only inadequate, but may actually be misleading. Clarification of the timepath of expected economic changes and budgetary effects would benefit further from periodic economic reviews and policy assessments.

Recommendation No. 3. In addition to budget presentations for administrative purposes, clear summary statements of budget accounts should be provided for purposes of economic analysis. These should cover both the year past and the expected outturn of the year to come. They should include all Central government transactions, classified according to the standard national accounts sub-divisions. The presentation and justification of budget proposals should be in these simple, standard and relatively intelligible terms. We further suggest that such presentations be disseminated widely and discussed publicly.

A clear justification of budget proposals implies adequate statistical documentation of budget activities. We suggest that governments should review the resources they devote to this purpose and be ready to supplement them where necessary.

Recommendation No. 4. Estimates of the impact of budget and related policies upon the economy are necessarily implicit in the budgetary process. We suggest that such estimates be made explicit and included in budget presentations.

This will involve exploratory work in the area of measurement of budget impacts and further consideration of the problem of presenting budget accounts. We suggest it might be useful if there were discussions at the expert level in OECD aimed at agreement on common definitions and statistical procedures, which, ultimately, would lead to publishable estimates of the impact that particular budgets are intented to exert upon the economy.

Recommendation No. 5. Legislatures should take a comprehensive view of budget proposals in the context of overall economic policy. This requires more occasions during the parliamentary year when the broad impact of budget effects is debated, apart from discussions of expenditure and revenue proposals in detail.

In addition to formal parliamentary discussion, we think the development of informed views can be fostered by the setting-up

of specialized committees to discuss general questions of economic policy.

Recommendation No. 6. Legislators should be provided with more adequate research staff for appraising the mass of economic material with which they need to be familiar to fulfil their responsabilities.

Recommendation No. 7. Governments should encourage the formation of unofficial independent institutions, equipped with sufficient professional staff, to publish regular detailed assessments of economic trends and their implications for government economic policies.

B THE NEED FOR COORDINATION OF POLICIES

Appraisal of the requirements of the economic situation and an efficient decision-making process within the government calls for a certain centralized coordination. Furthermore, our review of countries' experience indicates that modern fiscal policy requires not only coordination within the Central government, but also between the government and other bodies with responsibility in the area of economic policy. And, finally, individual countries have a great and increasing stake in the adoption of appropriate and flexible fiscal policies by their trading partners because fluctuations in economic activity in one country increasingly affect activity in other countries.

Recommendation No. 8. Within the Central government itself, a number of countries have developed institutional arrangements whereby a particular agency, or a group of agencies, exercises a coordinating rôle over the related functions of other departments. But in some countries the division of functions within the Executive branch has complicated the formulation of a clear policy. There can clearly be no universally ideal answer to administrative problems of this sort and solutions will differ from country to country. But we suggest that there is a need to review present arrangements so as to facilitate more effective coordination and better organisation of the general decision-making process.

Recommendation No. 9. Efficient decision-making presupposes adequate assessment of the policy implications of economic forecasts. This requires that the central department or departments should be served by an adequately staffed economic advisory unit. Members of such a unit should be at a sufficiently senior level to advise on policy issues and should be closely associated with the forecasting team.

Recommendation No. 10. Since fiscal and monetary policies need to be closely coordinated, there should, whatever the legal status of the Central bank, be close cooperation between it and the government. Each should view specific policy problems in a wide context, keeping in mind the overall goals of economic policy.

Recommendation No. 11. We suggest that in most countries governments need to improve their ability to include actions of Local authorities in their policy formulation. Since, in all countries, the Local government sector is an important component of total demand, the Central government should, as a minimum, have prompt and accurate information about State and Local fiscal operations.

C. The need for flexibility in fiscal policy

The efficiency with which policy decisions can be implemented and the speed with which their effects are transmitted to, and work themselves through, the economy can spell the difference between an appropriate and successful policy and one that, though initially appropriate, turns out to be unsuccessful and, perhaps, even perverse. We suggest improvements in efficiency under the following main headings:

(*a*) flexibility in the control of public expenditures;

(*b*) measures affecting private investment; and

(*c*) measures affecting private consumption.

We also have suggestions to make on (*d*) flexibility in debt management and (*e*) short-term fiscal action in the context of overall economic policies.

(a) *Flexibility in the control of public expenditure*

Though many items of public expenditure are difficult to change substantially at relatively short notice, variation should not be rejected as impossible; otherwise, an undue share of any adjustment will fall on the private sector.

Recommendation No. 12. Efforts should be made to increase the flexibility of public expenditure, both current and capital. Apart from timing the introduction of new programmes according to the needs of the general economic situation, we suggest that planned expenditures should be classified according to the case with which they can be varied at short notice. In the case of public investment, the speeding up or slowing down of certain smaller projects, specially selected in advance, may provide sufficient flexibility, with sizeable

and possibly costly swings in larger programmes being avoided. An extension of this idea is the Swedish emergency investment budget which, voted each year on a contingency basis, applies to such a "shelf" of projects and, in addition, leaves the government free to overspend appropriations up to an agreed amount.

Recommendation No. 13. In some countries, control by the central economic departments over the timing of expenditures by the other departments is weak and needs to be tightened. In the United States, efforts in this direction resulted in a system of limiting individual departments' spending to quarterly appropriation allotments.

(b) *Measures affecting private investment*

Fiscal instruments can effectively influence private investment decisions because they can directly affect both the liquidity position and the profitability of business. In order to improve the leverage of fiscal instruments upon private investment decisions, we have two proposals to make:

Recommendation No. 14. Private investment activity is subject to strong fluctuations and, therefore, strong offsetting measures are needed. We believe that fiscal incentives which directly affect the profitability of investments are probably most effective. We would rate temporary changes in outright cash grants, subsidies and taxation of investment expenditure most likely to be successful, followed by changes in rates of profit tax and depreciation allowances. Responsiveness to the latter is conditional upon accounting practices and might be strengthened in this respect. In addition to the use of these instruments new tools might be developed. The Swedish Investment Reserve Fund provides an example of an effective technique combining both investment subsidies and liquidity effects in order to influence the timing of private investment expenditures.

Recommendation No. 15. The taxation of business profits should, as far as possible, be put on a "pay-as-you-go" basis. This necessitates a system of self assessment, together with a requirement of incentive for firms to make tax payments in advance of, and large in relation to, final assessments. Arrangements in Belgium, Sweden and the United States already approximate this system. Failure to eliminate long lags in payment of business taxes leads to unnecessarily long lags between changes in tax rate and liabilities and the economic effects they produce; in particular, it can encourage excessive private investment during an upswing.

(c) *Measures affecting private consumption*

There are limits to the extent to which government expenditure can be varied, or private investment influenced, in the interests of demand management. Accordingly, governments need to rely heavily on fiscal instruments affecting private consumption (which, in most cases, constitutes around two-thirds of national expenditure). We have a number of proposals for improving the adequacy and efficiency if fiscal instruments affecting household expenditure:

Recommendation No. 16. Effective demand management policies presuppose a tax system sufficiently broad-based to allow a choice among particular tax instruments, or combination of several of them. While we would not, of course, advocate changes in tax structure on the basis of demand management criteria alone, a move towards a broader-based system would improve the efficiency of discretionary action as well as the automatic response of the fiscal system. In this respect, the British indirect tax system, for example, heavily concentrated on drink, tobacco, and certain other relatively narrow expenditure categories, may not be very efficient.

Generally, to provide a sufficient basis for flexible fiscal policy, it needs to be accepted that all major broad-based taxes and levies affecting consumers should be variable for purposes of demand management. We could specify, in particular, personal income taxes, general sales and value-added taxes. Furthermore, variation of Social Security contributions and payroll taxes generally should be considered part of the fiscal instruments available for use in stabilization policies.

Recommendation No. 17. Changes in the prices charged for the services provided by public enterprises have effects comparable to changes in indirect taxes. These should be taken into account in the formulation of fiscal policy. The timing of such changes may, on occasion, appropriately be used as an instrument of demand management.

Recommendation No. 18. To increase the effectiveness and timeliness of discretionary action, as well as to strengthen automatic responses, collection of income taxes on wages and salaries should, as far as possible, be placed on a «pay-as-you-earn» basis. Collection systems should be readily adaptable to quick changes in tax rates at any time during the year. A number of countries already have such systems, but they could be more extensive, particularly in France and Sweden.

Recommendation No. 19. Social Security systems contribute substantially to the automatic stabilizing effects of the fiscal structure: moreover, as we have already suggested, temporary changes in contributions, or in benefits, should be used as a discretionary instrument. It would strengthen the useful economic effects of Social Security systems if, as in Belgium, Germany and the United States, unemployment benefits were put on a wage related rather than a flat-rate base. Where justifiable for other reasons, the magnitudes of unemployment (and perhaps other) benefits might be increased.

Recommendation No. 20. In some countries, the procedure for tax changes at budget time is rendered cumbersome by the rule that long notice has to be given before proposals can be enacted. This causes anticipatory effects—a disadvantage which we suggest outweighs any more general advantages. In the United States, tax changes have at times been backdated to the time when proposals were first made, and this might constitute at least a partial remedy worth considering. The ideal system appears to be that of the United Kingdom under which tax proposals take immediate effect in advance of full debate.

Recommendation No. 21. In Belgium, Italy and the United Kingdom (and to a smaller extent in France), the government has considerable power to vary tax rates, including in some cases Social Security contributions, by decree at any time within the budget year, without prior approval by Parliament; subsequent approval is usually required. In Germany, the government can put certain temporary changes through with a much abbreviated legislative procedure. Other countries would be well advised to follow these examples.

(d) *Flexibility in debt-management*

Recommendation No. 22. Improvements in the efficiency and timeliness with which the fiscal system can respond to demand management requirements may be hampered by various limitations on government financial transactions. Fiscal flexibility is inhibited to some extent in the United States by limitations on the size of the public debt. And there is a further constraint in the manner in which the debt can be financed because of the upper limit set to the rate of interest which the government may pay on long-term debt. Other countries also have certain statutory limitations relating to financial transactions. Such restrictions, we suggest, should be removed, or altered, so as to give the Treasury, or other responsible departments, sufficient room for manœuvre.

(e) *Short-term fiscal action in the context of overall economic policies*

Improvements in the efficiency with which short-term policy actions are transmitted through the economy are a necessary, but not a sufficient, condition for a successful stabilization policy. Short-term economic policy decisions need to be taken in the context of overall and longer-term policy goals. The latter can provide a standard against which short-term decisions can be measured and justified and through which a new element of flexibility can be added to short-term fiscal action. We have two proposals to make in this connection:

Recommendation No. 23. We recommended that, as is currently already the practice in a number of countries, public spending programmes be planned ahead over a period of years on the basis of medium-term projections of economic developments and future allocation of national resources. We suggest that such projections be regularly published and publicly discussed.

Recommendation No. 24. As countries increasingly operate in the «narrow band» around full employment, overall demand management needs to be supplemented by selective policies aimed at correcting regional or sectoral imbalances. We suggest that, to deal with such problems, governments should develop, in co-operation with regional authorities and specialised agencies of the Central government, selective policies such as those dealing with manpower resources. More extensive action in this field would probably be both possible and economic, and there seems room for further study of the potential costs and benefits.

STATISTICAL ANNEX

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Table A **National Product and Expenditure**

Million Swiss francs, current prices

	1960	1961	1962	1963	1964	1965	1966	1967	1968
Consumers' expenditure	22 960	25 100	27 875	30 170	32 820	35 285	37 870	40 635	42 950
Government current expenditure	3 740	4 450	5 160	5 815	6 400	6 835	7 555	8 130	8 695
Gross fixed asset formation	8 655	10 830	12 640	14 400	16 390	16 600	17 080	17 495	18 430
Change in stocks	1 015	1 520	1 140	720	800	450	450	440	500
NATIONAL EXPENDITURE	36 370	41 900	46 815	51 105	56 410	59 170	62 955	66 700	70 575
Exports of goods and services (non-factor)	10 970	12 035	13 165	14 380	15 930	18 100	19 890	21 275	24 060
Less : Imports of goods and services (non-factor)	10 775	12 940	14 470	15 670	17 395	18 160	19 325	20 315	22 095
GROSS DOMESTIC PRODUCT AT MARKET PRICES	36 565	40 995	45 510	49 815	54 945	59 110	63 520	67 660	72 540
Less : Net indirect taxes	2 230	2 610	2 875	3 195	3 520	3 790	4 010	4 205	4 470
Net income from the rest of the world	490	495	540	555	595	875	1 105	1 165	1 500
GROSS NATIONAL PRODUCT AT FACTOR COST	34 825	38 880	43 175	47 175	52 020	56 195	60 615	64 620	69 570

Source : La Vie économique.

Table B **National Product and Expenditure**

Million Swiss francs, 1958 prices

	1960	1961	1962	1963	1964	1965	1966	1967	1968
Consumers' expenditure	22 890	24 595	26 225	27 565	28 905	29 985	30 825	31 705	32 620
Government current expenditure	3 545	4 010	4 380	4 745	4 935	4 985	5 165	5 255	5 355
Gross fixed asset formation	8 245	9 675	10 715	11 400	12 415	12 235	12 180	12 245	12 705
Residential construction	2 415	2 685	2 655	2 710	3 055	3 010	2 975	2 985	3 005
Public works	1 365	1 490	1 780	2 075	2 390	2 400	2 570	2 635	2 795
Other construction	1 725	2 120	2 275	2 775	2 680	2 480	2 240	2 120	2 210
Machinery and equipment	2 740	3 380	4 005	4 140	4 290	4 345	4 395	4 505	4 695
Change in stocks	1 060	1 495	1 105	675	735	450	420	420	470
NATIONAL EXPENDITURE	35 740	39 775	42 425	44 385	46 990	47 655	48 590	49 625	51 150
Exports of goods and services (non-factor)	10 700	11 515	12 190	12 845	13 735	15 325	16 125	16 700	18 325
Less : Imports of goods and services (non-factor)	11 210	13 465	14 900	15 670	17 070	17 665	18 280	19 130	20 690
GROSS DOMESTIC PRODUCT AT MARKET PRICES	32 230	37 825	30 715	41 560	43 655	43 315	46 435	47 195	48 785
Net income from the rest of the world	540	565	620	630	675	940	1 150	1 240	1 580
GROSS NATIONAL PRODUCT AT MARKET PRICES	35 770	38 390	40 335	42 190	44 330	46 255	47 585	48 435	50 365

Source : La Vie économique.

Table C **Income and Expenditure of Households and Private Non-Profit Institutions**

Million Swiss francs

	1960	1961	1962	1963	1964	1965	1966	1967	1968
Compensation of employees	18 995	21 420	23 940	26 685	29 415	32 090	34 315	36 525	38 750
Wages and salaries	18 270	20 605	23 035	25 680	28 305	30 900	33 065	35 205	37 345
Pay and allowances of armed forces	90	100	110	115	120	120	125	125	130
Employers' contributions to Social Security	635	715	795	890	990	1 070	1 125	1 195	1 275
Income from property and entrepreneurship[1]	9 150	9 995	10 915	11 680	12 800	13 725	14 865	15 970	17 165
Income of independent traders	5 940	6 580	7 210	7 710	8 420	8 765	9 290	9 750	10 165
Interest, rents, dividends, and corporate grants	3 210	3 415	3 705	3 970	4 380	4 960	5 575	6 220	7 000
Current transfers from Government	2 255	2 605	2 980	3 165	3 870	4 285	4 885	5 520	5 800
Current transfers from the rest of the world	210	220	230	245	250	240	260	260	270
INCOME OF HOUSEHOLDS etc.	30 610	34 240	38 065	41 775	46 335	50 340	50 325	58 275	61 985
Less : Direct taxes on households etc.	4 210	4 545	5 315	5 755	6 620	7 150	8 115	8 930	9 830
DISPOSABLE INCOME	26 400	29 695	32 750	36 020	39 715	43 190	46 210	49 345	52 155
Less : Current transfers to Government	650	775	875	875	785	790	780	885	910
Less : Current transfers to the rest of the world	540	755	960	1 120	1 180	1 275	1 315	1 245	1 285
Less : Consumers' expenditure on goods and services	22 960	25 100	27 875	30 170	32 820	35 285	37 870	40 635	42 950
Food	5 840	6 270	6 885	7 370	8 010	8 655	9 300	9 825	10 135
Clothing	2 090	2 255	2 435	2 680	2 830	2 960	3 095	3 190	3 250
Rent	2 720	2 880	3 100	3 320	3 615	3 940	4 380	4 905	5 385
Other	12 310	13 695	15 455	16 800	18 365	19 730	21 095	22 715	24 180
SAVINGS OF HOUSEHOLDS etc.	2 250	3 065	3 040	3 855	4 930	5 840	6 245	6 580	7 010

1 Net of interest on consumer debts.

Source : La Vie économique ; Swiss submission to the OECD.

Table D **Gross Domestic Product at Factor Cost by Industrial Origin**

	1964		1967		Average annual rate of growth
	SF million	Composition rate	SF million	Composition rate	
Agriculture	3 500	6.8	4 080	6.4	5.2
Industry	25 615	49.8	31 480	49.6	7.1
of which : Manufacturing	18 925	36.8	23 370	36.8	7.3
Construction	5 260	10.2	6 200	9.8	5.6
Commerce, banks and insurance companies	8 340	16.2	10 480	16.5	7.9
Transport and communication	3 635	7.1	4 410	7.0	6.6
Others	10 335	20.1	13 005	20.5	8.0
Total	51 425	100.0	63 455	100.0	7.3

Source : La Vie économique.

Table E **Prices, Wages and Labour Cost**
Indices, 1963 = 100

	1960	1961	1962	1963	1964	1965	1966	1967	1968
GDP deflator total	86.2	90.4	95.6	100.0	105.0	108.8	114.1	119.4	124.0
Private consumption	91.6	93.2	97.1	100.0	103.7	107.5	112.2	117.1	120.3
Gross fixed investment	83.1	88.6	93.4	100.0	104.5	107.4	111.0	113.1	114.9
The cost of living	91.0	92.7	96.7	100.0	103.1	106.6	111.7	116.1	119.0
Food	89.9	91.3	96.5	100.0	101.7	103.9	108.8	111.9	112.2
Non-food	91.7	93.6	96.8	100.0	104.0	108.4	113.6	118.1	122.8
Rent	88.5	91.4	96.0	100.0	106.2	112.1	121.2	132.8	142.7
Others	93.3	94.7	97.2	100.0	102.9	106.6	109.8	110.8	115.5
Wholesale prices of materials and basic goods	92.9	93.1	96.3	100.0	101.3	101.9	103.8	104.1	104.1
Agricultural products				100.0	101.7	102.9	104.1	105.7	106.0
Export prices (unit value)	92.0	93.0	99.0	100.0	103.6	105.6	110.3	113.8	117.3
Import prices (unit value)	96.0	96.0	97.0	100.0	101.5	102.5	105.3	106.1	106.8
Building prices (Zurich)	79.5	85.6	92.4	100.0	106.8	110.7	113.7	114.5	115.5
Average hourly wage rates of industrial and building workers		89.1	94.3	100.0	105.6	110.9	117.5	123.8	129.2
Average hourly wage earnings of skilled male industrial workers	80.0	85.4	92.2	100.0	107.6	115.4	123.6	130.8	138.2

Source : La Vie économique ; Annuaire statistique de la Suisse.

Table F **Money and Banking**

Million Swiss francs and percentages

	1964	1965	1966	1967	1968					1969		
					year	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.
INTEREST RATES (end of period)												
Discount rate	2 1/2	2 1/2	3 1/2	3	3	3	3	3	3	3	3	3 3/4
Call money (Zurich)	2 3/4	3	3 3/4	2 1/2	3 1/2	2	2 1/2	3	3 1/2	4 3/4	5	5
3 months' deposits (Zurich)	3 5/8	4		4	4 1/4	2 3/4	3 3/4	3 3/4	4 1/4	4 3/4	5	5
Government bond yield	4.07	3.98	4.53	4.55	4.33	4.35	4.34	4.34	4.33	4.66	4.69	5.37
MONETARY AGGREGATES (end of period, billion Swiss francs)												
Money[1]	28.34	29.43	30.54	32.80	36.88	32.84	33.08	34.25	36.88	35.25	36.56	
Quasi-money[2]	30.13	33.01	36.26	39.71	45.35	41.02	42.36	43.74	45.35	47.59	51.05	
SELECTED BANK ASSETS AND LIABILITIES (end of period)[3]												
Cash position	4 743	4 843	4 924	5 566	7 250	5 170	5 773	5 577	7 250	6 472	6 766	7 171
Lending to non-banks	53 193	57 882	62 757	68 899	75 712	69 853	71 606	73 048	75 712	77 198	80 961	84 481
Mortgages	24 317	26 022	29 798	29 790	32 523	30 277	30 827	31 531	32 523	33 146	33 806	34 440
Loans to public sector	2 780	3 303	3 706	4 165	4 424	3 947	3 949	4 248	4 424	4 189	4 346	4 615
Other loans	21 521	23 572	26 335	19 126	32 769	29 741	30 819	31 687	32 769	34 099	37 374	39 534
Discount credits	4 575	4 985	4 918	5 819	5 996	5 888	6 011	5 582	5 996	5 764	5 435	5 892
Deposits from non-banks	44 625	47 919	51 357	55 998	64 332	58 606	60 732	62 288	64 332	66 326	70 666	75 352
Sight	14 496	14 908	15 099	16 285	18 970	17 591	18 370	18 551	18 970	18 738	19 619	20 619
Time	10 032	11 185	12 622	13 795	16 505	14 197	15 040	15 896	16 505	17 997	21 194	24 586
Savings and deposit accounts	20 097	21 826	23 636	25 918	28 857	26 818	27 322	27 841	28 857	29 591	29 853	30 147
Own bonds	16 065	18 095	19 215	22 007	25 028	22 891	23 535	24 116	25 028	26 018	26 488	26 747
CAPITAL MARKET												
Total security issues	5 199	44 999	5 285	5 795	6 217	1 339	1 703	1 475	1 700	1 997	1 639	1 276
Foreign bonds	383	339	561	898	1 089	160	348	332	248	374	170	159
Domestic bonds	3 057	3 050	3 445	3 551	3 194	774	942	679	799	1 146	684	724
- public market issues	2 637	2 858	2 999	3 385	2 987	719	846	670	751	1 039	631	702
Government	794	1 036	1 417	1 464	886	135	527	65	159	577	142	132
Financial institutions[4]	1 052	887	893	1 178	1 100	234	227	274	365	353	221	334
Other private	791	934	698	743	1 001	350	92	331	227	109	268	236
Shares	1 760	1 610	1 279	1 345	1 935	405	413	464	653	477	785	393
- public market issues	568	282	258	322	503	84	183	83	153	158	288	68
Redemptions and conversion of public market issues	563	797	1 114	1 204	659	142	148	198	166	378	322	164

1 Currency circulation, demand deposits and post office checking deposits.
2 Time and saving deposits.
3 Seventy-two banks covered by current statistics.
4 Including holding companies.

Source : Bulletin Mensuel de la Banque Nationale Suisse and International Financial Statistics by IMF.

Table G **Current Government Transactions**[1]

Million Swiss francs

	1960	1961	1962	1963	1964	1965	1966	1967	1968
CENTRAL GOVERNMENT :									
Current revenue	3 150	3 375	4 055	4 085	4 940	4 915	5 660	5 675	6 515
Taxes and current transfers received	2 940	3 140	3 800	3 835	4 660	4 680	5 425	5 405	6 195
Income from property and entrepreneurship	210	235	255	250	280	235	235	270	320
Less : Current expenditure	1 950	2 530	2 710	2 770	3 295	3 395	3 745	3 955	4 120
Goods and services	1 020	1 530	1 680	1 655	1 840	1 890	2 160	2 200	2 130
Current transfers paid (including interest on public debt)	930	1 000	1 030	1 1115	1 455	1 505	1 585	1 755	1 990
GROSS SAVINGS	1 200	845	1 345	1 315	1 645	1 520	1 915	1 720	2 395
OTHER GOVERNMENT :									
Current revenue	6 150	7 035	7 850	8 550	9 185	10 090	10 955	12 310	13 300
Taxes and current transfers received	5 225	6 055	6 765	7 485	8 060	8 905	9 595	10 820	11 685
Income from property and entrepreneurship	925	980	1 085	1 065	1 125	1 185	1 360	1 490	1 615
Less : Current expenditure	5 025	5 575	6 530	7 395	8 325	9 180	10 320	11 515	12 500
Goods and services	2 720	2 920	3 480	4 160	4 560	4 945	5 395	5 930	6 565
Current transfers paid (including interest on public debt)	2 305	2 655	3 050	3 235	3 765	4 235	4 925	5 585	5 935
GROSS SAVINGS	1 125	1 460	1 320	1 155	860	910	635	795	800

1 Including Social Security.

Source : Swiss submission to the OECD.

Table H **Foreign Trade by Area**

Million US dollars

	1962	1963	1964	1965	1966	1967	1968 year	1968 1st half	1968 2nd half	1969 1st half
				Exports f.o.b.						
OECD countries	1 604.5	1 757.0	1 989.1	2 224.1	2 432.0	2 619.9	2 950.6	1 409	1 542	1 629
EEC	918.7	1 010.4	1 058.9	1 161.5	1 228.0	1 259.5	1 419.6	681	739	812
EFTA	367.8	399.1	480.4	550.7	600.6	715.8	798.5	389	410	440
USA	211.6	223.6	243.0	288.8	355.2	364.8	416.3	194	222	201
Others[1]	106.4	123.9	206.8	223.1	248.2	279.8	316.2	145	171	176
Non OECD countries[2]	595.5	644.6	642.2	714.5	818.9	850.5	997.3	433	564	513
Eastern Europe and China Mainland	61.6	67.7	74.7	101.6	133.2	148.0	159.5	72	88	83
Other developed countries[3]	(82.7)	(94.5)	115.7	126.6	141.5	136.3	146.5	49	98	55
Developing countries	(451.2)	(482.4)	451.8	486.3	544.2	566.3	691.2	312	379	375
Total	2 200.0	2 401.6	2 632.0	2 939.3	3 251.1	3 471.1	3 948.6	1 843	2 106	2 143
				Imports c.i.f.						
OECD countries	2 653.5	2 857.3	3 197.9	3 272.3	3 464.0	3 595.3	3 965.3	1 884	2 081	2 159
EEC	1 893.8	2 070.3	2 225.1	2 280.6	2 363.1	2 437.5	2 670.8	1 262	1 409	1 428
EFTA	389.7	433.4	526.8	537.8	600.5	660.2	721.0	356	365	436
USA	293.6	278.9	313.3	312.2	354.4	343.9	402.5	190	213	197
Others[1]	76.4	74.7	132.7	141.7	146.0	153.7	171.0	76	95	98
Non OECD countries[2]	347.1	377.3	393.2	398.7	453.4	503.7	527.1	254	273	293
Eastern Europe and China Mainland	68.0	71.5	82.5	93.1	111.6	106.7	105.6	50	56	58
Other developed countries[3]	(21.7)	(43.9)	31.6	27.9	28.9	37.7	40.1	10	30	11
Developing countries	(257.4)	(261.9)	279.0	277.7	312.8	359.2	381.5	194	188	224
Total	3 000.6	3 234.6	3 591.3	3 671.3	3 917.6	4 099.2	4 492.6	2 138	2 355	2 452

1 Including Japan from 1964 onwards.
2 Including Japan up to 1963.
3 Australia, New Zealand, South Africa and Finland.

Source : OECD trade statistics, Series B.

Table I **Foreign Trade by Commodity Groups**

Million US dollars

	1962	1963	1964	1965	1966	1967	1968 year	1968 1st half	1968 2nd half	1969 1st half
				Exports f.o.b.						
0 Food and live animals	93.3	104.4	105.0	116.9	132.4	137.8	156.0	69	87	77
1 Beverages and tabacco	19.2	27.4	37.1	41.9	40.8	47.3	63.3	29	34	35
2 Crude materials, inedible, except fuels	42.2	53.8	60.1	67.7	74.0	75.8	94.8	50	45	53
3 Mineral fuels, lubricants, and related materials	1.1	1.4	2.9	3.8	3.8	4.8	6.1	3	3	4
4 Animal and vegetable oils and fats	2.0	2.3	2.4	3.1	3.6	3.8	4.5	2	3	2
5 Chemicals	416.1	465.8	526.3	585.0	650.0	703.0	810.5	399	412	482
6 Manufactured goods, classified chiefly by materials	383.1	415.1	458.8	516.6	564.6	581.8	652.2	310	342	368
7 Machinery and transport equipment	692.8	743.3	796.1	894.4	984.9	1 056.7	1 213.8	556	658	656
8 Miscellaneous manufactured articles	539.3	571.2	629.0	700.2	781.9	839.8	921.1	413	508	455
9 Commodities and transactions not classified according to kind	10.9	16.6	14.2	9.7	15.6	20.4	26.3	11	15	11
Total	2 200.0	2 401.7	2 632.0	2 939.3	3 251.6	3 471.1	3 948.6	1 843	2 106	2 143
				Imports c.i.f.						
0 Food and live animals	359.7	426.4	490.6	501.6	523.6	528.2	5 005.5	252	249	276
1 Beverages and tabacco	65.4	73.2	76.9	85.8	81.2	90.2	97.9	46	52	50
2 Crude materials, inedible, except fuels	235.0	245.1	265.6	252.1	261.9	261.9	266.9	127	140	143
3 Mineral fuels, lubricants and related materials	201.0	268.5	232.1	231.0	238.3	257.3	299.4	145	154	146
4 Animal and vegetable oils and fats	16.3	15.6	16.8	18.4	19.9	18.3	16.2	8	8	8
5 Chemicals	245.5	255.7	315.7	344.5	367.3	402.7	452.0	214	238	262
6 Manufactured goods, classified chiefly by materials	728.4	754.1	837.2	872.5	920.4	941.4	1 027.6	482	546	573
7 Machinery and transport equipment	799.6	823.8	905.7	884.1	979.1	1 002.7	1 173.0	565	608	629
8 Miscellaneous manufactured articles	304.3	357.2	429.1	449.5	500.6	567.3	634.6	288	347	354
9 Commodities and transactions not classified according to kind	9.5	15.2	21.5	31.9	25.1	29.2	24.6	12	13	10
Total	3 000.6	3 237.7	3 591.3	3 671.3	3 917.6	4 009.2	4 492.6	2 138	2 355	2 452

Source : OECD trade statistics, Series B.

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